



India & Indonesia: From Shared Heritage to Shared Prosperity



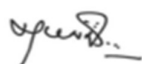
Confidential and Proprietary
September 2026

FOREWORD

Indonesia occupies a distinctive and increasingly consequential position within Asia's economic landscape. As Southeast Asia's largest economy and the world's largest archipelagic state, endowed with the world's leading nickel reserves, a young and expanding consumer base of nearly 285 million people, and a fast-growing digital economy, the country holds substantial long-term potential across critical minerals, manufacturing, energy, digital services and agriculture. At the same time, a layered regulatory environment, uneven infrastructure beyond Java, and structural dependence on commodity cycles temper the pace at which this potential translates into realised opportunity, shaping a landscape where genuine promise and genuine friction sit closely together.

India and Indonesia share a longstanding relationship rooted in historical, cultural and strategic ties, most recently reaffirmed through President Prabowo Subianto's visit to India in January 2025 and Prime Minister Modi's State Visit to Indonesia in July 2026, which opened cooperation across critical minerals, pharmaceuticals, digital payments, renewable energy, agriculture and defence-adjacent manufacturing. Trade between the two countries has historically centred on Indonesian exports of coal, palm oil and base metals against Indian exports of refined petroleum, pharmaceuticals, engineering goods and agricultural inputs. Bilateral trade has in fact moderated over the past two years from its 2022–23 peak, concentrated in a coal trade now under structural pressure, while direct investment in both directions remains modest relative to the scale of that trade. The underlying complementarities between the two economies nonetheless remain intact: India's manufacturing, pharmaceutical and digital-services strength alongside Indonesia's resource base and consumer scale continue to offer a durable foundation for deeper engagement. This paper takes care to present these linkages as they stand today, distinguishing established patterns from areas of future potential.

Looking ahead, the paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Indonesia in a manner appropriate to current conditions — whether through sector-specific market intelligence, structured business matchmaking, or institutional dialogue with BKPM, Danantara and KADIN Indonesia that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Indonesia's economy, its major sectors, and the opportunities and constraints shaping India-Indonesia economic engagement, serving as a reference for CCI India's engagement with the Embassy, Indonesian stakeholders, and Indian companies assessing the market.

Munindra Kumar
Director General
CCI INDIA

TABLE OF CONTENT

FOREWORD.....	1
INDONESIA	4
1. COUNTRY PROFILE	7
1.1 BASIC COUNTRY INFORMATION	7
1.2 ECONOMIC PROFILE	8
1.3 TRADE PROFILE.....	9
1.4 INVESTMENT PROFILE.....	9
1.5 STRATEGIC IMPORTANCE OF INDONESIA.....	10
2. EMBASSY / DIPLOMATIC RELATIONS WITH INDIA.....	13
2.1 HISTORICAL RELATIONS.....	13
2.2 CURRENT BILATERAL RELATIONSHIP.....	13
2.4 INDIAN DIPLOMATIC PRESENCE IN INDONESIA	15
2.5 INSTITUTIONAL ECOSYSTEM.....	15
2.6 EXISTING INDIA-INDONESIA BUSINESS ENGAGEMENT	16
3. MAJOR ECONOMIC & BUSINESS SECTORS	18
3.1 MINING & CRITICAL MINERALS	18
3.2 MANUFACTURING & ENGINEERING	19
3.3 ENERGY & RENEWABLE ENERGY	20
3.4 EV & BATTERY ECOSYSTEM.....	21
3.5 AUTOMOTIVE & AUTO COMPONENTS	23
3.6 INFRASTRUCTURE, CONSTRUCTION & LOGISTICS.....	24
3.7 DIGITAL ECONOMY, IT & DATA CENTRES	25
3.8 CHEMICALS & PETROCHEMICALS.....	27
3.9 PHARMACEUTICALS & HEALTHCARE.....	28
3.10 AGRICULTURE & ARGO-INDUSTRY	29
4. KEY CHALLENGES.....	31
4.1 REGULATORY COMPLEXITY	31
4.2 LICENSING & MARKET ENTRY.....	31
4.3 LOCAL CONTENT REQUIREMENTS	31
4.4 INFRASTRUCTURE GAPS	31
4.5 LOGISTICS & INTER-ISLAND CONNECTIVITY.....	31
4.6 SKILLED WORKFORCE	32
4.7 PRODUCTIVITY	32
4.8 FINANCING	32
4.9 COMMODITY DEPENDENCE.....	32
4.10 ENERGY TRANSITION	32
4.11 CLIMATE & NATURAL DISASTER RISK	32
4.12 REGIONAL INEQUALITY	33
4.13 DIGITAL INFRASTRUCTURE	33
4.14 TECHNOLOGY & MANUFACTURING CAPABILITY	33
4.15 FOREIGN INVESTOR CHALLENGES.....	33
4.16 MSME CONSTRAINTS.....	33
5. INDIA-INDONESIA TRADE & ECONOMIC RELATIONS.....	36
5.1 BILATERAL TRADE	36
5.2 MAJOR INDIAN EXPORTS TO INDONESIA.....	36
5.3 MAJOR INDONESIAN EXPORTS TO INDIA.....	37
5.4 TRADE COMPLEMENTARITY	37

5.5 INVESTMENT RELATIONSHIP	38
5.6 EXISTING BUSINESS PARTNERSHIPS	39
5.7 UNTAPPED ECONOMIC POTENTIAL	39
6. TRADE & INVESTMENT OPPORTUNITIES	41
6.1 EXPORT OPPORTUNITIES	41
6.2 INVESTMENT OPPORTUNITIES	42
6.3 TECHNOLOGY OPPORTUNITIES	42
6.4 SUPPLY-CHAIN OPPORTUNITIES	42
6.5 ASEAN OPPORTUNITY	43
6.6 OPPORTUNITY RANKING	43
7. HOW CCI INDIA CAN COLLABORATE / INTERVENE	45
7.1 CCI'S POTENTIAL ROLE	45
7.2 INDIA-INDONESIA BUSINESS & INVESTMENT FACILITATION DESK	46
7.3 CCI'S INSTITUTIONAL ADVANTAGE	47
7.4 PROPOSED CCI-INDONESIA INSTITUTIONAL PARTNERSHIPS	47
8. SECTOR-WISE CCI INITIATIVES	48
8.1 MINING, CRITICAL MINERALS & ADVANCED MATERIALS	48
8.2 MANUFACTURING & ENGINEERING	48
8.3 ENERGY & RENEWABLE ENERGY	48
8.5 AUTOMOTIVE & AUTO COMPONENTS	49
8.6 INFRASTRUCTURE, CONSTRUCTION & LOGISTICS	49
8.7 DIGITAL ECONOMY, IT & DATA CENTRES	49
8.8 CHEMICALS, PETROCHEMICALS & PHARMACEUTICALS	49
8.9 HEALTHCARE & MEDICAL TECHNOLOGY	50
8.10 AGRICULTURE & AGRO-INDUSTRY	50
9. POTENTIAL B2B / B2G PARTNERSHIPS	52
9.1 B2B PARTNERSHIPS	52
9.2 B2G OPPORTUNITIES	52
9.3 INSTITUTIONAL PARTNERSHIPS	53
9.4 PARTNERSHIP PRIORITIZATION	53
<i>A. Recommendations for CCI</i>	54
<i>B. Recommendations for Indian Industry</i>	55
<i>C. Recommendations for Indonesian Industry</i>	55
<i>D. Recommendations for Government / Institutional Stakeholders</i>	56
CONCLUSION	57

INDONESIA

“ Explore islands where nature and culture exist in perfect harmony. Every moment reflects tradition, spirituality, and breathtaking landscapes.



Basic Facts and Culture

Indonesia, officially the Republic of Indonesia, stands as the world's largest archipelagic state, comprising over 17,380 islands, and is strategically positioned in Southeast Asia. It is the world's fourth most populous country, with an estimated population of approximately **284.44 million in mid-2025**. The nation's official language is **Indonesian**.

Its culture is a vibrant and complex mosaic, deeply influenced by centuries of interaction with Indian, Chinese, Arab, and European traders. The historical and cultural connection with India is profound, dating back to ancient kingdoms that embraced Hinduism and Buddhism, evidenced by architectural marvels like Borobudur and Prambanan, and the strong legacy of Sanskrit and Indian epics in the Indonesian language and traditions.

Economy, GDP, and Currency

Indonesia is the largest economy in the Association of Southeast Asian Nations (ASEAN) and a prominent member of the G20. The economy is a mixed structure, heavily reliant on domestic consumption and the commodity sector.

- **GDP (Nominal):** While the projected Nominal GDP for the full year 2025 approaches **\$1.45 trillion**, the Gross Domestic Product (GDP) growth rate is generally positive, with Q3 2025 recording a Year-on-Year (Y-o-Y) growth of 5.04%. The World Bank revised its 2025 GDP growth outlook upward to **4.8%**, with other forecasts ranging around 5.11%.
- **Currency:** The official currency is the **Indonesian Rupiah (IDR or Rp)**.
- **Economic Ties:** The economy is heavily characterized by resource extraction and processing, making it a crucial global supplier of commodities.



“ Culture and Heritage

The culture and heritage of Indonesia are rich and diverse, shaped by thousands of islands and many ethnic groups. The country is known for its traditional dances, colorful festivals, and unique art forms such as batik and wood carving. Ancient temples like Borobudur and Prambanan reflect Indonesia's deep historical and spiritual roots. Traditional music such as gamelan plays an important role in cultural celebrations. Indonesian cuisine, with dishes like Nasi Goreng, also represents the nation's cultural identity.

Bilateral Trade Target (2025): The two countries have set an ambitious target to achieve a **US\$ 50 billion** trade volume by 2025. Recent Trade Figures: Bilateral trade reached US\$28.15 billion in FY2024-25 . While full-year 2025 figures are pending, monthly data from September 2025 shows India's total trade with Indonesia was approximately **\$2.30 billion** (Exports: \$412M, Imports: \$1.89B for the single month). Indonesia remains India's second-largest trading partner in the ASEAN region. India typically maintains a significant trade deficit with Indonesia due to large-scale commodity imports.

Key Players in India-Indonesia Import and Export

The trade composition reflects Indonesia's role as a major commodity supplier and India's strength in manufacturing and petroleum products.

Major Imports by India from Indonesia (Key Players): India is one of the world's largest buyers of Indonesian commodities. Leading Commodities: Coal, Coke, and Briquettes (e.g., \$6.327 billion in 2024, representing over 30% of exports to India), and Palm Oil (representing nearly 20% of exports to India and is vital for India's food security and biofuel needs). Other Key Imports: Ferroalloys, Stainless Steel, Rubber, Minerals, and Pulp & Paper.

Major Exports from India to Indonesia (Key Players): o Leading Commodities: Refined Petroleum Products (historically a top export), Motor Vehicles/Automobiles (e.g., commercial vehicles and parts), Iron and Steel products, Pharmaceuticals, and Bovine Meat. o Other Key Exports: Engineering Goods, Cereals, Telecommunication Equipment, Animal Feed, and Plastics.

The economic ties are expanding into strategic sectors. The two nations are actively encouraging investment in infrastructure (ports, power plants, railways), pharmaceuticals, automotive components, and IT/bio-technology. The robust bilateral relationship is institutionally supported by diplomatic missions in both countries.

- **Embassy of India in Jakarta, Indonesia:** The Embassy serves as the primary diplomatic and commercial mission in the capital, located at Gama Tower, Jl. HR.
- **Embassy of the Republic of Indonesia in New Delhi, India:** Indonesia's diplomatic representation is situated in New Delhi, India, working to enhance political, economic, and socio-cultural relations.



1. COUNTRY PROFILE

1.1 Basic Country Information

The Republic of Indonesia (Republic Indonesia) is Southeast Asia's largest economy and the world's largest archipelagic state, comprising more than 17,000 islands spread across three time zones. It is a presidential republic with a directly elected president and a bicameral legislature (the People's Consultative Assembly, comprising the House of Representatives/DPR and the Regional Representative Council/DPD). President Prabowo Subianto took office in October 2024, succeeding Joko Widodo.

Indicator	Detail
Official name	Republic of Indonesia
Capital	Jakarta remains the national capital as of September 2026. Nusantara (IKN) is the designated future capital, but the formal transfer of capital status has not yet taken effect because the required Presidential Decree has not been issued.
Political system	Presidential republic; multi-party democracy
Administrative structure	38 provinces, further divided into regencies (kabupaten) and cities (kota)
Currency	Indonesian Rupiah (IDR)
National language	Bahasa Indonesia is the national and official language; 706 regional languages are also spoken.
Population	284.67 million (2025, SUPAS 2025)
Geography	Archipelago of more than 17,000 islands.
Major islands	Java, Sumatra, Kalimantan (Indonesian Borneo), Sulawesi, Papua
Major cities	Jakarta, Surabaya, Bandung, Medan, Semarang, Makassar and Palembang
Time zones	Three zones: WIB (UTC+7), WITA (UTC+8) and WIT (UTC+9).
ASEAN membership	Founding ASEAN member since 8 August 1967; largest economy in Southeast Asia
Major international membership	United Nations, G20, WTO, APEC, ASEAN, BRICS (full member since 6 January 2025; first ASEAN country to become a full BRICS member), OECD accession candidate (accession discussions opened in February 2024; Accession Roadmap adopted in March 2024; Initial Memorandum submitted in June 2025), Non-Aligned Movement, OIC.

1.2 Economic Profile

Indonesia is Southeast Asia's largest economy and the world's 16th–17th largest by nominal GDP. Growth has been steady rather than spectacular: the IMF's January 2026 Article IV consultation put growth at 5.0% for 2025 and 5.1% for 2026, while the World Bank's December 2025 Indonesia Economic Prospects report also anchored growth around 5.0% for 2025–27. A subsequent IMF World Economic Outlook update (April 2026) trimmed the global growth outlook to 3.1% for 2026 citing disruption to energy supply chains from an active conflict affecting shipping route and correspondingly nudged Indonesia's 2026 forecast toward 5.0%, while the Asian Development Bank remained more optimistic at 5.2%. The government's own target is more ambitious, at 5.4% for 2026, rising to a stated aspiration of 5.6%. For a CCI reader, the practical takeaway is that Indonesia's growth path is consistently in the 5.0–5.2% band across independent forecasters solid, but well short of the 7%+ pace the government has periodically targeted to reach high-income status by its "Indonesia Emas 2045" (Golden Indonesia 2045) milestone.

Indonesia crossed into upper middle-income status in 2023 (World Bank classification), with GNI per capita of roughly US\$4,810 that year still well below the approximately US\$14,000 high-income threshold. GDP per capita is estimated at approximately US\$5,082 in 2025 and US\$5,362 in 2026 (IMF-linked estimates). Inflation has been well anchored within Bank Indonesia's target range, enabling the central bank to cut policy rates by a cumulative 150 basis points through 2025 to support domestic demand.

Structurally, Indonesia's economy remains driven by domestic consumption (private consumption is the largest component of GDP), supplemented by investment and, increasingly, downstream resource processing exports. Manufacturing contributes under a fifth of GDP and has been broadly flat as a share of the economy for over a decade long-standing policy concern that motivates the government's "down streaming" (hilirisasi) strategy. Services, including a fast-growing digital economy, account for the largest and fastest-growing share of GDP. Indonesia's digital economy, measured by gross merchandise value, is the largest in ASEAN as of 2025, though the World Bank's December 2025 report flags uneven internet quality, rural connectivity gaps and an under-built data-center and regulatory ecosystem as constraints on realizing its full potential.

Urbanization continues at a steady pace (over half of Indonesians now live in urban areas), and the middle class commonly estimated in the range of 50–60 million people with a much larger "aspiring middle class" behind it anchors a large and increasingly digitally connected consumer market of nearly 285 million people, the fourth largest in the world. This combination of scale, steady growth and rising household purchasing power creates a substantial long-term market for Indian goods, services, technology and investment. For CCI, the opportunity is therefore less about short-term growth arbitrage and more about establishing durable sector-specific business linkages in a large, expanding economy.

1.3 Trade Profile

Indonesia has historically run persistent trade surpluses, underpinned by commodity exports coal, palm oil, and (increasingly) processed nickel and base-metal products. Non-oil-and-gas exports, led by mineral fuels, vegetable oils and iron and steel, dominate the export basket, even as commodity price volatility periodically compresses the trade surplus. China is Indonesia's largest single trading partner, followed by the United States, Japan, India and Singapore among others; the concentration of exports toward China is a recognized vulnerability, illustrated by a double-digit percentage decline in exports to China during a period of slowing Chinese demand in 2024. Indonesia is a founding participant in the Regional Comprehensive Economic Partnership (RCEP), which has improved its access to regional value chains, and is a party to the ASEAN Free Trade Area and the ASEAN–India Trade in Goods Agreement (AITIGA).

1.4 Investment Profile

Indonesia's investment climate is being reshaped by two developments of direct relevance to Indian companies: the creation of the sovereign wealth fund Danantara, and continued liberalization of foreign-investment rules under the Ministry of Investment and Downstream Industry / Investment Coordinating Board (BKPM). Danantara Indonesia (Daya Anagata Nusantara) was formed on 24 February 2025, consolidating the government's stakes in major state-owned enterprises under a single investment-management vehicle, led by Rosan Roeslani (who concurrently serves as Minister of Investment/Head of BKPM) as CEO. As of 2026, Danantara is coordinating 18 downstream industrial projects worth approximately Rp 600 trillion (~US\$34 billion), with nickel processing as the center piece, and has outlined plans to deploy roughly US\$13.1 billion across four priority areas, waste to energy, data centers, chemicals and agriculture. For CCI and Indian investors, Danantara is emerging as a key counterparty and potential co-investment partner for large projects, alongside BKPM as the regulatory gatekeeper.

Total investment realization reached IDR 1,931.2 trillion in full-year 2025 (101.3% of the government's target, up 12.7% year-on-year), of which foreign direct investment (FDI) accounted for a substantial but declining share relative to domestic investment (PMDN); in Q3 2025, domestic investment (56.9%) outpaced FDI (43.1%) for the first time in several years, a signal of strengthening local capital markets. FDI itself grew 8.5% year-on-year in Q1 2026. The basic metals industry (driven by nickel and base-metal downstreaming) has consistently been the top investment-receiving sector, followed by mining, transport/warehousing/telecommunications, and notably for Indian IT and digital-infrastructure companies' digital infrastructure and data centers, which ranked as the second-largest FDI-receiving sector in Q1 2026 (IDR 64.2 trillion, behind base metals at IDR 69.4 trillion).

Minister Rosan has publicly noted that while Indonesia contributes roughly 40% of ASEAN's GDP, it attracts only 14–15% of ASEAN's FDI inflows (which totaled approximately US\$240 billion in 2024) implying, in the government's own assessment, substantial headroom for additional foreign investment. Regulatory easing has accompanied this push: BKPM Regulation 5/2025 cut the minimum paid-up capital requirement for foreign-owned companies (PT PMA) from IDR 10 billion to IDR 2.5 billion, and the Online Single Submission (OSS) licensing system has been progressively streamlined, though foreign investors continue to describe regulatory complexity and inconsistent implementation at the sub-national level as persistent frictions.

Government investment priorities for 2026 are concentrated in: downstream mineral and metal processing (nickel, copper, bauxite); the EV and battery ecosystem data centers and digital infrastructure; renewable energy and energy transition projects; and agriculture/food-security-linked processing largely mirroring Danantara's stated priority areas.

1.5 Strategic Importance of Indonesia

Indonesia's relevance to India and to global supply chains rests on several overlapping factors:

- **Scale and market depth.** With the world's fourth-largest population and a growing middle class, Indonesia is among the largest untapped consumer markets accessible to Indian exporters, particularly for pharmaceuticals, processed foods, engineering goods and digital services.
- **Critical minerals leverage.** Indonesia holds the world's largest nickel reserves and accounts for roughly 60% of global mined nickel and about 45% of global primary nickel processing, making it structurally important to global EV battery and stainless-steel supply chain and a potential alternative or complementary source for India's own battery and EV ambitions, which currently depend heavily on imports of processed battery materials from China.
- **Manufacturing relocation and "China+1".** Indonesia is a beneficiary of supply-chain diversification away from China, competing with Vietnam, India and Thailand for relocating manufacturing capacity, particularly in electronics assembly, textiles and automotive components.
- **Energy transition and renewables.** Indonesia's geothermal potential is among the largest in the world, and its solar and hydro resources remain significantly under-exploited relative to potential, creating opportunities for Indian renewable-energy EPC and technology companies.

- **Digital economy scale.** As ASEAN's large sat digital economy by gross merchandise value, Indonesia offers scale for Indian IT services, SaaS, fintech and digital-payments companies, several of which) are already exploring interoperability arrangements such as the India-Indonesia digital payments (UPI/QRIS-linked, ONDC-linked) cooperation flagged during the July 2026 Modi–Prabowo summit.
- **Infrastructure and connectivity.** The construction of Nusantara, continued port and toll-road expansion, and Indonesia's stated interest in the Sabang Port's development represent long-cycle infrastructure opportunities for Indian EPC, engineering and project-finance players.
- **Geopolitical and Indo-Pacific alignment.** As two of the Indo-Pacific's largest maritime democracies, India and Indonesia share an interest in secure sea lanes, ASEAN centrality and a rules-based regional order, which increasingly translates into defense industrial cooperation (e.g., the c missile agreement reached in July 2026) with potential spillover benefits for India's broader defense and engineering-goods exports.
- **Regional supply-chain complementarity.** Indonesia's mineral wealth combined with India's manufacturing, pharmaceutical and engineering base creates a plausible (though not yet realized) India–Indonesia axis within diversified Indo-Pacific supply chains for EVs, batteries, chemicals and renewable-energy equipment.

Indonesia at a Glance

Indicator	Value	Year / Source
GDP growth rate	~5.0%	2025 (IMF Article IV, Jan 2026)
GDP growth forecast	5.1% - 2026 (IMF, January 2026).	2026 estimates
GDP per capita (nominal)	~US\$5,082 rising to ~US\$5,362	2025 / 2026 est.
Population	284.67 million 2025 (BPS SUPAS 2025)	2025/26, BPS / UN / IMF-linked estimates
Income classification	Upper-middle-income (GNI per capita ~US\$4,810 in 2023)	World Bank, 2023
Global share of mined nickel	~60%	2025 estimate (ORF/industry sources)
Global share of primary nickel processing	~45%	2025 estimate (ORF/industry sources)
Total investment realization	IDR 1,931.2 trillion (101.3% of target, +12.7% YoY)	Full-year 2025 (BKPM)

Indicator	Value	Year / Source
FDI growth	FDI realization: IDR 250.0 trillion Q1 2026 (50.1% of total investment)	Q1 2026 (Trading Economics/BKPM)
Share of ASEAN GDP	~40%	2025 estimate (Ministry of Investment)
Share of ASEAN FDI inflows	~14–15%	2024–25 (Ministry of Investment)
Digital economy ranking in ASEAN	Largest by gross merchandise value	Largest digital economy in ASEAN by GMV 2025.
BRICS membership	Full member since 6 January 2025; first ASEAN country to become a full BRICS member.	2025
OECD accession	OECD accession process under way.	2024–26 (in progress, not complete)

Key Business Takeaways for Indian Companies

- Indonesia is a large, steadily growing (~5% p.a.), consumption-driven market with a growing middle class attractive for Indian consumer, pharmaceutical and digital-services exporters, but not a market defined by explosive growth.
- The government's down streaming and Danantara-led investment agenda concentrates opportunity in a handful of sectors base metals/nickel, data centers, chemicals, waste-to-energy and agriculture where Indian companies with relevant capability should focus first.
- Domestic investment now exceeds FDI in Indonesia for the first time in years, signaling that Indian investors will increasingly compete or partner with well-capitalized Indonesian conglomerates and Danantara backed entities rather than simply filling a funding vacuum.
- India is not currently among Indonesia's top five FDI source countries gap that is also an opportunity, given the government's explicit statement that Indonesia's FDI share is well below its ASEAN GDP share.
- Regulatory easing (lower minimum paid-up capital, OSS streamlining) has modestly reduced entry barriers, but implementation consistency and local-content/licensing requirements remain real frictions, particularly outside Java.
- Indonesia's nickel-led EV strategy is real but faces a genuine market risk the global shift toward nickel-free LFP batteries that Indian battery and EV companies evaluating Indonesian partnerships should factor into due diligence.

- The July 2026 Modi–Prabowo State Visit has opened a wide diplomatic aperture (from critical minerals to digital payments to pharma) that has not yet been matched by a proportionate rise in actual trade and investment flows creating a live window for CCI to convert political goodwill into commercial follow-through.

2. EMBASSY / DIPLOMATIC RELATIONS WITH INDIA

2.1 Historical Relations

India and Indonesia relations draw on centuries of maritime and cultural contact, including the historic spread of Indic culture, language and religion across the archipelago, and shared anti-colonial solidarity in the twentieth century India was among the first countries to recognize Indonesia's independence, and Indonesia's founding president Sukarno was a co architect, alongside Jawaharlal Nehru, of the Non-Aligned Movement and the 1955 Bandung Conference. Diplomatic relations were formally established in 1951. This paper does not dwell further on this history; the focus below is on the economic and strategic relationship since the 2000s.

2.2 Current Bilateral Relationship

India and Indonesia elevated relations to a "Strategic Partnership" in 2005 and further to a "Comprehensive Strategic Partnership" in 2018, during Prime Minister Modi's visit to Jakarta. The relationship has since been reinforced by reciprocal state visits: President Prabowo Subianto was the Chief Guest at India's 76th Republic Day celebrations in January 2025, and Prime Minister Modi undertook a State Visit to Indonesia from 6–8 July 2026his first bilateral visit to the country since the 2018 upgrade, and one of the most substantive engagements in the relationship's recent history.

The July 2026 visit is the single most important recent milestone for any assessment of India–Indonesia business potential, and CCI should treat it as the reference point for current bilateral momentum. According to the official India–Indonesia Joint Statement, the two leaders' official talks covered political engagement, defense and security cooperation, maritime cooperation, trade and investment, the digital economy, science and technology, space, critical minerals, energy, agriculture, health and pharmaceuticals, education, culture, tourism, and youth and people-to-people ties.

Media reporting on the number of agreements/MoUs signed during the visit varies between 14 and 20 across different outlets; the exact count should be verified against the official Ministry of External Affairs release before being cited in external-facing CCI communication, but the breadth of sectors covered is consistent across all sources.

Substantive outcomes reported from the visit include:

- A defense-industrial agreement for Indonesia's procurement of India's BrahMos supersonic cruise missile system, alongside a broader agreement to deepen defense-technology cooperation.
- Agreement to advance talks toward a preferential trade arrangement and to revisit/review the decade-old ASEAN–India Trade in Goods Agreement (AITIGA).
- Cooperation on critical minerals supply chains directly relevant to India's EV and battery ambitions given Indonesia's nickel dominance.
- A digital-economy/digital-payments cooperation track referencing India's Unified Payments Interface/ONDC framework and Indonesia's QRIS payments system (reported in some accounts as an "ION–ONDC" linkage), aimed at cross-border digital commerce interoperability.
- Cooperation on medical professional licensing and the pharmaceutical sector, alongside workforce skill-development cooperation (including in hospitality).
- Support in principle from President Prabowo for the Indian Institutes of Management to establish a campus presence in Indonesia.
- A joint cultural-heritage conservation project at the Prambanan Temple Compounds (Yogyakarta), led on the Indian side by the Archaeological Survey of India.
- References in the Joint Statement and subsequent commentary to maritime cooperation, the "blue economy," joint port development interest (including mentions of Sabang Port), and the India–Australia–Indonesia trilateral as a vehicle for wider Indo-Pacific cooperation.

For CCI, the practical significance of the visit is that it has opened at head-of-government level nearly every sector this paper covers, from critical minerals to digital payments to pharmaceuticals to defense adjacent engineering. The task for institutions like CCI is to convert this political-level opening into scheduled B2B engagement before the momentum of the visit dissipates, which is a recurring pattern in India's ASEAN diplomacy: high-profile summit outcomes are not always followed up with sustained institutional business engagement. The immediate priority should be to establish a structured post-visit engagement mechanism with clear sector ownership, timelines and identified business counterparts on both sides. CCI can help translate broad cooperation announcements into curated B2B pipelines, beginning with sectors where commercial readiness and policy alignment are strongest.

This should include targeted buyer–seller meetings, partner identification, delegation programmes and sector-specific working groups. Equally important is systematic post-meeting tracking of leads, partnerships and investment discussions to ensure that opportunities do not end with the initial introduction. This would position CCI as a practical implementation partner rather than simply another facilitator of business networking.

2.3 Indonesian Diplomatic Presence in India

Indonesia maintains its Embassy in New Delhi, which handles the full range of political, economic, trade and consular functions for the bilateral relationship, including engagement with Indian ministries, industry chambers and state governments on trade and investment promotion. Indonesia also maintains consular representation in other major Indian commercial centers to support trade facilitation, visa services and diaspora/business-community engagement; CCI should verify current consulate locations and named economic/commercial attachés directly with the Embassy before finalizing outreach materials, as diplomatic postings change periodically and are best confirmed at source rather than assumed from older directories.

2.4 Indian Diplomatic Presence in Indonesia

India maintains its Embassy in Jakarta, headed by India's Ambassador to Indonesia, which also covers ASEAN-related coordination given Jakarta's role as the ASEAN Secretariat's host city. The Embassy's commercial wing supports Indian companies on market entry, trade disputes, and coordination with Invest India and the Ministry of Commerce on bilateral trade promotion. As with the Indonesian side, CCI should confirm current commercial-attaché contacts directly with the Embassy of India, Jakarta, when structuring any formal Business & Investment Facilitation Desk.

2.5 Institutional Ecosystem

Indonesian side

Institution	Relevant Function
Ministry of Foreign Affairs (Kemlu)	Overall bilateral relations, treaty negotiation, diplomatic coordination
Ministry of Trade	Trade policy, tariffs, non-tariff measures, trade negotiations including AITIGA/RCEP implementation
Ministry of Investment and Downstream Industry / BKPM	Investment promotion, licensing (OSS), foreign investment regulation, down streaming policy
Danantara Indonesia	Sovereign wealth/investment management vehicle for state-owned enterprise assets; co-investment counterparty for large projects in metals, energy, data centers, chemicals, agriculture
Ministry of Industry	Industrial policy, manufacturing standards, local-content (TKDN) regulation

Institution	Relevant Function
Ministry of Energy and Mineral Resources	Energy policy, mining regulation, critical minerals licensing
KADIN Indonesia (Indonesian Chamber of Commerce and Industry)	Apex industry chamber; principal Indonesian counterpart body for CCI-level engagement; represented Indonesia's private-sector voice on BRICS accession and broader trade diplomacy
Sectoral associations and industrial-park authorities	Sector-specific engagement (e.g., nickel/mining associations, industrial estate operators in Batam, Morowali, Weda Bay)

Indian side

Institution	Relevant Function
Ministry of Commerce & Industry (including DPIIT)	Trade policy, FDI policy, industrial promotion, Export Promotion Councils
Ministry of External Affairs	Diplomatic coordination, ASEAN/Indo-Pacific policy, economic diplomacy
Invest India	National investment promotion agency; first point of contact for Indonesian investors entering India and for facilitating outward Indian investment intelligence
Export Promotion Councils (e.g., Engineering Export Promotion Council, Pharmexcil, CHEMEXCIL)	Sector-specific export facilitation and market intelligence for Indian exporters targeting Indonesia
NITI Aayog	Strategic policy coordination, including on critical minerals and supply-chain diversification
CCI (Chamber of Commerce Industry of India) and other industry associations (CII, FICCI, ASSOCHAM)	Industry-level engagement, trade delegations, B2B forums

2.6 Existing India–Indonesia Business Engagement

Business-level engagement between the two countries has historically run through a mix of government-led trade missions, CEO forums convened around leader-level visits, and sector-specific chamber delegations, rather than through a standing, dedicated bilateral business institution.

The July 2026 Modi–Prabowo summit is reported to have included business and CEO-level components alongside the government-to-government agenda, consistent with past patterns around major state visits. KADIN Indonesia has been an active counterpart in these efforts and has separately been vocal on Indonesia's broader economic diplomacy (including BRICS accession), indicating a chamber willing to engage substantively with foreign partners.

What is notably less developed is a standing, continuously staffed India–Indonesia business facilitation mechanism that operates between summits one that curates opportunities, maintains company-level relationships, and follows up on the many sector-specific commitments made at the political level (critical minerals, digital payments, pharma, defense-adjacent manufacturing) so that they translate into actual B2B deals rather than remaining framework agreements. This is precisely the institutional gap of this paper proposes CCI should address. A dedicated mechanism could therefore serve as a permanent bridge between policy intent and commercial execution, rather than being activated only around high-level visits. It could maintain a live pipeline of Indian and Indonesian companies, identify bankable projects, facilitate trusted introductions, and track the progress of agreed initiatives.

Key Diplomatic & Institutional Takeaways for CCI

- The July 2026 State Visit has created an unusually broad, high-level mandate spanning nearly every sector CCI could plausibly engage on critical minerals, digital economy, pharma, agriculture, defense-adjacent engineering but mandates of this kind have a limited shelf life if not converted into scheduled business engagement.
- KADIN Indonesia is the natural apex counterpart for CCI, but sector-specific engagement will also require direct relationships with BKPM, Danantara and relevant ministries, since much of Indonesia's investment agenda is now state-fund-mediated rather than purely private-sector-led.
- Both governments have a demonstrated preference for framework-level agreements (MoUs, joint statements) CCI's institutional value proposition is precisely in the "last mile" work of business matchmaking that governments are not structured to perform themselves.
- Given Jakarta's role as the ASEAN Secretariat's seat, an India–Indonesia business mechanism anchored in Jakarta could plausibly also serve as a bridgehead for CCI's wider ASEAN engagement, not solely Indonesia-specific.

3. MAJOR ECONOMIC & BUSINESS SECTORS

This section analyses ten sectors central to Indonesia's economy and to India–Indonesia business potential. Each sector is assessed against a common framework current situation, market size, government priorities, challenges, India's capability, the bilateral opportunity, plausible business models, CCI's role, and a priority rating (Very High / High / Medium / Emerging).

3.1 Mining & Critical Minerals

Indonesia is the world's largest producer of mined and refined nickel (approximately 60% of global mined nickel and 45% of global primary nickel processing, 2025 estimates), and holds significant reserves of coal, copper, bauxite and tin. Since banning raw nickel ore exports in 2014 (fully enforced from 2020) and extending similar restrictions to bauxite and other minerals, the government has driven a rapid build-out of domestic smelting capacity⁴⁹ Rotary Kiln Electric Furnace (RKEF) nickel smelters were operating by 2025. Danantara is now coordinating 18 downstream projects worth roughly US\$34 billion, with nickel as the center piece, and the Ministry of Investment has pitched an estimated US\$121 billion in further EV-battery-ecosystem investment opportunity (June 2026). However, independent research flags real costs and risks: concentrated air-pollution and health costs from coal-fired smelters a narrowing of economic linkages as the sector specializes in capital-intensive processing, and a market risk from the global shift toward nickel-free LFP batteries, which already power roughly half of global EVs and are used by Indonesia's own top-selling EV brands (Wuling, Chery, BYD).

Dimension	Assessment
Current Market Situation	World's largest refined-nickel producer; 49 RKEF smelters (2025); rapid capacity build-out largely financed by Chinese capital and technology to date
Market Size / Growth	Basic metals are Indonesia's top FDI-receiving sector; nickel/EV ecosystem investment pitch of ~US\$121bn (2026); Danantara-coordinated downstream projects ~US\$34bn
Government Priorities	Extending down streaming from saprolite to limonite nickel ore; diversifying into copper, bauxite and battery-grade materials; reducing single-country (Chinese) concentration of investment and technology
Major Indonesian Players	State miner Antam (Aneka Tambang), Vale Indonesia, Indonesia Asahan Aluminium (Inalum) largely under Danantara/MIND ID state holding structure
Major Foreign Players	Tsingshan Holding Group, Huayou Cobalt and other Chinese smelting/processing groups dominate current investment; Korean players (POSCO, LG) present in battery materials
Key Challenges	Concentrated environmental and health costs from coal-fired smelting; heavy reliance on Chinese capital/technology; global LFP battery shift reducing nickel demand growth; input-output research shows narrowing economic linkages as sector specializes

Dimension	Assessment
India's Existing Capabilities	India has domestic base-metal and specialty-metallurgy expertise (steel, aluminium, copper smelting via Hindalco/Vedanta/Tata Steel) but limited nickel-processing capacity and no comparable nickel reserve base
India-Indonesia Opportunity	Potential offtake/supply agreements for Indian battery and stainless-steel manufacturers seeking to diversify away from Chinese-controlled nickel supply chains; possible Indian equity participation in mid-stream processing JVs, particularly where Indonesia is actively seeking to diversify investment sources
Potential Business Models	Long-term offtake contracts; minority JV equity in smelting/processing assets; technology and engineering-services partnerships (EPC for smelter construction, environmental-control retrofits)
CCI's Potential Role	Curate Indian metallurgical and battery-material companies for structured dialogue with BKPM/Danantara; facilitate technical exchange on emissions-control technology relevant to Indonesia's stated ESG concerns
Priority Rating	High (genuine strategic fit, but capital-intensive and requires long lead times and careful ESG due diligence)

3.2 Manufacturing & Engineering

Indonesia's manufacturing sector has been broadly stagnant as a share of GDP for over a decade, a long-standing policy concern the government has sought to address through down streaming and industrial-park incentives (Special Economic Zones, tax holidays). Industrial automation and Industry 4.0 adoption remain nascent outside a handful of large industrial estates (Karawang, Cikarang, Batam).

Machinery and capital-goods imports remain a significant and persistent line item in Indonesia's import basket, since domestic engineering-goods manufacturing capability is limited relative to the country's industrial ambitions

Dimension	Assessment
Current Market Situation	Manufacturing accounted for 19.07% of GDP in 2025; industrial activity remains significant in Java, while investment is increasingly expanding outside Java.
Market Size / Growth	Industrial-estate and industrial investment are tracked through separate sectoral classifications; manufacturing and industrial-related investment remain major contributors to Indonesia's overall investment activity.
Government Priorities	Industrial-park expansion, local-content (TKDN) requirements to build domestic component supply chains, industrial automation/Industry 4.0 incentives
Major Indonesian Players	Large conglomerates (Astra International group companies, Sinar Mas, Salim Group) operating diversified industrial portfolios

Dimension	Assessment
Major Foreign Players	Japanese and Korean industrial groups (long-established), increasing Chinese industrial-park investment
Key Challenges	Limited domestic component supplier base; skills gaps in industrial automation; TKDN local-content rules can complicate straightforward equipment exports
India's Existing Capabilities	India has a substantial machinery, capital-goods and industrial-automation manufacturing base (machine tools, pumps, compressors, electrical equipment) and rising Industry 4.0/automation-integration expertise
India-Indonesia Opportunity	Export of mid-tier industrial machinery and components where Indian pricing is competitive against Japanese/Korean/European equivalents; potential for component-manufacturing JVs inside Indonesian industrial parks to meet TKDN requirements
Potential Business Models	Direct export via distributors; licensing/technology-transfer arrangements; contract manufacturing and supplier partnerships inside existing industrial estates
CCI's Potential Role	Connect Indian engineering-goods exporters and MSMEs with Indonesian industrial-park operators and distributors; organize sector-specific buyer-seller meets
Priority Rating	Medium-High (steady, unglamorous but realistic opportunity given India's engineering-goods export base)

3.3 Energy & Renewable Energy

Indonesia remains heavily reliant on coal for electricity generation, but has significant under-exploited renewable potential particularly geothermal, where it holds among the world's largest resource bases, alongside solar and hydropower. The energy-transition agenda is politically prioritized but has moved slowly in practice, constrained by financing costs, grid-integration limits, and the political economy of the domestic coal industry.

Dimension	Assessment
Current Market Situation	Coal-dominated grid; geothermal, solar and hydro significantly under-developed relative to resource potential; energy-transition targets exist but implementation is slower than stated ambition
Market Size / Growth	Energy sector remains a large share of total investment realization; renewable-specific investment still a small fraction of coal/mining-linked energy investment
Government Priorities	Grid modernization, geothermal capacity expansion, energy-storage pilots, gradual coal phase-down commitments (subject to energy-security caveats)
Major Indonesian Players	State utility PLN (grid and generation monopoly), Pertamina (oil, gas, and expanding into renewables/geothermal)

Dimension	Assessment
Major Foreign Players	Japanese and Korean utilities and EPC firms active in geothermal and grid projects; Chinese firms active in coal and some renewables
Key Challenges	PLN's centralized, subsidy-linked tariff structure complicates independent power producer economics; grid capacity constraints on outer islands; financing costs for long-payback renewable projects
India's Existing Capabilities	India has a large and increasingly cost-competitive solar EPC and renewable-project-development sector, plus growing grid and energy-storage technology capability
India-Indonesia Opportunity	Solar EPC and component supply (India have scaled domestic solar manufacturing under its PLI scheme); potential geothermal-technology and engineering collaboration; grid-modernization consulting and equipment supply
Potential Business Models	EPC contracts with PLN/private IPPs; equipment export (solar modules, inverters, transformers); technical-services partnerships
CCI's Potential Role	Facilitate introductions between Indian renewable-EPC firms and PLN/private Indonesian IPPs; organize a dedicated Green Energy Connect forum.
Priority Rating	High (genuine complementarity, though PLN's centralized procurement and tariff structure require careful navigation)

3.4 EV & Battery Ecosystem

Indonesia's EV strategy is built around one of its strongest natural resource advantages: its position as the world's dominant source of nickel, a critical input for many nickel based lithium ion battery chemistries. The government has sought to leverage this resource advantage to move the country beyond raw material exports and establish an integrated domestic EV value chain encompassing nickel processing, precursor and cathode production, battery cells, battery packs, and ultimately electric vehicle manufacturing. The investment demonstrates Indonesia's ambition to become a regional hub for battery and EV production while attracting major international automotive and technology companies into its industrial ecosystem.

However, Indonesia's nickel centered strategy faces an important structural challenge arising from the rapid evolution of battery technology. Lithium iron phosphate (LFP) batteries do not require nickel or cobalt, yet LFP has become one of the fastest growing battery chemistries in the global EV market and is estimated to account for around half of global EV sales.

Dimension	Assessment
Current Market Situation	Nickel-based battery ecosystem being built out (Hyundai-LG plant operational since 2024); domestic EV sales dominated by Chinese brands using non-nickel LFP batteries
Market Size / Growth	Ministry of Investment cites a pitched US\$121bn EV-battery investment opportunity (June 2026); actual EV-ecosystem investment share of total downstream FDI was reported as low as 0.1% in 2024, rising since but from a very small base
Government Priorities	Building a “fully integrated” domestic EV ecosystem from ore to finished vehicle; attracting diversified (non-Chinese) investment and technology partners
Major Indonesian Players	State miner/holding entities (Antam, MIND ID) as upstream partners; state utility PLN for charging infrastructure
Major Foreign Players	Hyundai-LG (battery cells), Chinese EV brands (Wuling, Chery, BYD) dominating vehicle sales, Korean and Chinese battery-materials firms
Key Challenges	Nickel/LFP chemistry mismatch with actual market demand; capital intensity; competition from Vietnam and Thailand for the same EV manufacturing investment; battery-recycling infrastructure still nascent
India’s Existing Capabilities	India has a fast-growing domestic EV manufacturing base (two- and three-wheelers particularly), an emerging battery-cell manufacturing programme (PLI-linked), and auto-component manufacturing strength, but is itself a net importer of processed battery materials
India-Indonesia Opportunity	Realistic opportunity is narrower than headline figures suggest: potential nickel/battery-material offtake for Indian battery manufacturers, and possible component-level (not integrated-vehicle) partnerships; India is not a natural source of EV-assembly investment capital at Indonesia’s target scale
Potential Business Models	Offtake and supply agreements for battery-grade nickel intermediates; component and sub-assembly supply partnerships; two/three-wheeler EV technology licensing (an Indian strength Indonesia’s own market, dominated by scooters, could value)

3.5 Automotive & Auto Components

Indonesia is ASEAN's largest automotive production base, historically dominated by Japanese manufacturers (Toyota, Daihatsu, Honda, Mitsubishi) for internal-combustion vehicles, with Chinese brands rapidly gaining share in the EV segment. Two-wheelers remain a very large domestic market. Auto-component manufacturing exists but is heavily tied to Japanese-brand supply chains, leaving a gap for independent component suppliers, including from India.

Dimension	Assessment
Current Market Situation	ASEAN's largest vehicle production base; Japanese OEM dominance in ICE vehicles, Chinese OEM gains in EVs; large two-wheeler market
Market Size / Growth	Automotive sector activity broadly tracks Indonesia's overall 5% GDP growth, with EV segment growing off a small base
Government Priorities	Attracting EV assembly investment; building domestic component supply chains (TKDN local-content targets for automotive)
Major Indonesian Players	Astra International (dominant automotive conglomerate, Toyota/Daihatsu-linked), Indomobil Group
Major Foreign Players	Toyota, Daihatsu, Honda, Mitsubishi (ICE); Wuling, Chery, BYD (EV)
Key Challenges	Japanese-brand-linked supply chains are relatively closed to new entrants; TKDN compliance costs; EV segment still small relative to ICE
India's Existing Capabilities	India is a large, cost-competitive auto-component exporter (forgings, castings, electricals, two-wheeler components) and a major two-wheeler manufacturing base
India-Indonesia Opportunity	Component supply into existing Japanese-brand-linked supply chains where Indian suppliers already serve those OEMs' global operations; potential niche in two-wheeler components and increasingly in EV two/three-wheeler technology
Potential Business Models	Direct component export/supply agreements; joint ventures with Indonesian component makers seeking technology upgrades; distribution partnerships for Indian two-wheeler brands entering the Indonesian market

Dimension	Assessment
CCI's Potential Role	Facilitate supplier introductions between Indian auto-component exporters and Indonesian OEMs/tier-1 suppliers; support participation in Indonesia's automotive trade fairs (GIICOMVEC, IIMS)
Priority Rating	Medium-High (realistic, incremental opportunity; unlikely to be transformational but genuinely actionable)

3.6 Infrastructure, Construction & Logistics

Indonesia's archipelagic geography makes inter-island logistics a structurally expensive proposition, and closing this gap through ports, toll roads, and the new capital Nusantara remains a top government priority. Nusantara's construction, funded partly through public-private partnership structures and increasingly eyed as a BRICS New Development Bank financing candidate, represents one of the largest long-cycle infrastructure programs in the region.

Dimension	Assessment
Current Market Situation	Continued toll-road and port expansion; Nusantara capital-city construction ongoing (multi-year, multi-phase); persistent inter-island logistics cost premium
Market Size / Growth	Infrastructure investment remains a consistent multi-billion-dollar annual category within Indonesia's total investment realization; specific Nusantara financing needs remain substantial and only partly secured
Government Priorities	Completing priority Nusantara infrastructure; port modernization (including interest in Sabang Port development raised during the July 2026 India visit); cold-chain and warehousing expansion to support e-commerce growth
Major Indonesian Players	State construction firms (Wijaya Karya, Waskita Karya, PP/Pembangunan Perumahan), Jasa Marga (toll roads), Pelindo (ports)
Major Foreign Players	Chinese state construction and engineering firms are the most visible foreign participants in recent large projects; Japanese firms remain active in port and rail projects (e.g., historically the Jakarta MRT)
Key Challenges	Financing large projects amid fiscal constraints; land acquisition delays; Nusantara's uncertain private-investment uptake to date; competitive bidding dominated by Chinese state-linked financing terms that Indian firms may struggle to match
India's Existing Capabilities	India has substantial EPC, engineering-consultancy and project-management expertise (roads, ports, metro rail) and Indian financing institutions with experience in concessional infrastructure lending to partner countries

Dimension	Assessment
India-Indonesia Opportunity	Niche EPC and engineering-consultancy roles in port modernization, warehousing/cold-chain and toll-road projects, rather than head-to-head competition with Chinese state financing on Nusantara's largest civil-works packages
Potential Business Models	EPC subcontracting, engineering-consultancy contracts, joint bidding with Indonesian construction majors, potential concessional-financing-backed project packages
CCI's Potential Role	Build and maintain an "Indonesia Project Bank" tracking specific, biddable Indonesian infrastructure and logistics projects suited to Indian EPC/engineering capability
Priority Rating	Medium (genuine capability match, but capital intensity and Chinese financing competition make this a longer-cycle, more selective opportunity)

3.7 Digital Economy, IT & Data Centres

Indonesia's digital economy is the largest in ASEAN by gross merchandise value, but the World Bank's own analysis identifies uneven internet quality, rural connectivity gaps, and an under-built data-center and regulatory ecosystem as constraints on realizing the sector's full potential precisely the areas where India's IT-services and digital-infrastructure industry has a strong, internationally proven track record. The opportunity therefore extends beyond conventional IT services into digital public infrastructure, cloud and data-center solutions, cybersecurity, fintech and connectivity technologies. CCI can facilitate targeted partnerships between Indian technology providers and Indonesian enterprises, infrastructure developers and government-linked institutions to address these gaps.

Dimension	Assessment
Current Market Situation	Largest digital economy in ASEAN by GMV; strong e-commerce and fintech adoption; data-center capacity expanding but from a low base
Market Size / Growth	Digital infrastructure/data centers were the second-largest FDI-receiving sector in Q1 2026 (IDR 64.2 trillion), just behind base metals
Government Priorities	Expanding data-center capacity and improving the regulatory/investment environment for it (per the World Bank's Dec 2025 recommendations); improving rural and institutional (schools, health clinics) internet access; digital-payments interoperability, including the cross-border linkage discussed with India in July 2026
Major Indonesian Players	Telkomsel/Telkom Indonesia (telecom incumbent), GoTo Group (e-commerce/ride-hailing/fintech), major local data-center operators

Dimension	Assessment
Major Foreign Players	Global hyperscalers (AWS, Google Cloud, Microsoft Azure) have announced or built data-center capacity in Indonesia; Singapore-based data-center operators active given regional overflow from Singapore's own capacity constraints
Key Challenges	Regulatory and permitting environment for data centers still maturing; power availability and reliability for large data-center loads; cybersecurity and data-localization compliance requirements
India's Existing Capabilities	India has a globally competitive IT-services and enterprise-software industry, a fast-scaling domestic digital-public-infrastructure model (UPI, ONDC, Aadhaar-linked systems) increasingly exported as a template, and growing data-center and cloud-infrastructure investment capability
India-Indonesia Opportunity	IT-services delivery and systems-integration contracts for Indonesian enterprises and government digitalization programmes; potential digital-public-infrastructure cooperation building on the July 2026 payments-interoperability discussion; data-center investment/co-location partnerships
Potential Business Models	IT-services and systems-integration contracts; joint ventures in data-center development; technology-licensing of India's digital-public-infrastructure stack; cybersecurity services partnerships
CCI's Potential Role	Establish a Digital Business Bridge connecting Indian IT/SaaS/fintech companies with Indonesian enterprise buyers and government digitalization programs; support DPI (digital public infrastructure) knowledge exchange
Priority Rating	Very High (large addressable market, genuine Indian competitive advantage, and an existing government-to-government cooperation track to build on)

Indonesia's digital economy is the largest in ASEAN by gross merchandise value, but the World Bank's own analysis identifies uneven internet quality, rural connectivity gaps, and an under-built data-center and regulatory ecosystem as constraints on realizing the sector's full potential precisely the areas where India's IT-services and digital-infrastructure industry has a strong, internationally proven track record. The opportunity therefore extends beyond conventional IT services into digital public infrastructure, cloud and data-center solutions, cybersecurity, fintech and connectivity technologies. CCI can facilitate targeted partnerships between Indian technology providers and Indonesian enterprises, infrastructure developers and government-linked institutions to address these gaps.

3.8 Chemicals & Petrochemicals

Indonesia's chemicals sector spans basic petrochemicals (heavily import-dependent for feedstock and intermediate products), specialty chemicals, plastics and fertilizers. Import dependence for several chemical intermediates creates a direct opportunity for Indian chemical exporters, while Danantara's stated priority of chemicals investment (as one of its four priority deployment areas) signals continued government interest in expanding domestic capacity.

Dimension	Assessment
Current Market Situation	Import-dependent for several petrochemical intermediates and specialty chemicals; domestic capacity concentrated among a small number of large integrated producers
Market Size / Growth	Chemicals is one of Danantara's four stated priority investment areas (alongside waste-to-energy, data centers and agriculture) for its planned ~US\$13.1bn deployment
Government Priorities	Expanding domestic petrochemical and specialty-chemical capacity to reduce import dependence; fertilizer self-sufficiency linked to food-security goals
Major Indonesian Players	Chandra Asri Group (largest integrated petrochemical producer), Pupuk Indonesia (state fertilizer holding)
Major Foreign Players	Various Asian (Japanese, Korean, Chinese) petrochemical and specialty-chemical companies with joint-venture or supply relationships with Indonesian producers
Key Challenges	High capital intensity of petrochemical investment; feedstock (naphtha/gas) availability and pricing; competition from established regional producers (Singapore, Malaysia, South Korea)
India's Existing Capabilities	India has a large and diversified chemicals and petrochemicals industry (Reliance, and a broad specialty-chemicals and agrochemicals base) with established export capability
India-Indonesia Opportunity	Export of specialty chemicals, agrochemicals and chemical intermediates where Indonesian domestic capacity is limited; potential JV interest from Danantara-linked chemicals projects
Potential Business Models	Direct export/distribution agreements; technology-licensing partnerships; minority JV participation in Danantara-backed chemicals projects

Dimension	Assessment
CCI's Potential Role	Identify specific Danantara chemicals-project opportunities suitable for Indian participation; connect Indian specialty-chemical exporters with Indonesian distributors
Priority Rating	Medium-High (steady export opportunity; JV/investment opportunity is more selective and depends on Danantara project specifics)

3.9 Pharmaceuticals & Healthcare

India is one of the world's largest suppliers of generic pharmaceuticals and active pharmaceutical ingredients (APIs), and Indonesia a large, price-sensitive, universal-health-coverage-driven pharmaceutical market is a natural, if currently under-realized, export destination. The July 2026 Modi–Prabowo summit specifically flagged cooperation on medical professional licensing and the pharmaceutical sector, providing a concrete, recent government mandate for CCI to build on.

Dimension	Assessment
Current Market Situation	Large domestic pharmaceutical market driven by Indonesia's national health insurance scheme (JKN); domestic formulation capacity exists but API/bulk-drug import dependence remains significant
Market Size / Growth	Growing steadily with population and healthcare-coverage expansion; medical devices and diagnostics also growing off a relatively low base
Government Priorities	Reducing API import dependence; expanding domestic pharmaceutical manufacturing; improving hospital and diagnostic infrastructure outside Java; the July 2026 joint statement specifically references medical-professional-licensing cooperation with India
Major Indonesian Players	Kalbe Farma, Kimia Farma (state pharmaceutical holding), Bio Farma (state vaccine/biologicals producer)
Major Foreign Players	Various multinational originator pharmaceutical companies with local distribution or formulation partnerships
Key Challenges	Regulatory registration timelines (BPOM approval processes) for foreign pharmaceutical products; local manufacturing/formulation requirements for certain product categories; price-sensitivity under JKN reimbursement rules

Dimension	Assessment
India's Existing Capabilities	India is the world's largest supplier of generic medicines by volume and a major API/bulk-drug producer, with extensive experience navigating price-sensitive, high-volume emerging markets
India-Indonesia Opportunity	API and generic-formulation exports; potential formulation-manufacturing joint ventures to meet local-manufacturing preferences; medical-device and diagnostics exports; the newly agreed medical-professional-licensing cooperation could ease movement of Indian healthcare professionals and support telemedicine/training partnerships
Potential Business Models	Direct API/formulation export; licensing and technology-transfer for local formulation manufacturing; joint ventures with Indonesian pharmaceutical majors; hospital-to-hospital and medical-education partnerships
CCI's Potential Role	Support Indian pharma companies through Indonesia's BPOM registration process by connecting them with experienced local regulatory-affairs partners; build a Healthcare Partnership Platform linking Indian pharma/hospital groups with Indonesian counterparts
Priority Rating	Very High (large market, clear Indian competitive advantage, and fresh government-level mandate from the July 2026 visit)

3.10 Agriculture & Argo-Industry

Agriculture remains a large employer in Indonesia even as its share of GDP has declined, and the sector faces persistent productivity constraints smallholder-dominated production, limited mechanization, and post-harvest losses linked to weak cold-chain infrastructure. Agriculture is also one of Danantara's four stated priority investment areas, and food security.

Dimension	Assessment
Current Market Situation	Smallholder-dominated production; low mechanization rates relative to India and other Asian peers; significant post-harvest losses due to limited cold-chain infrastructure
Market Size / Growth	Agriculture is one of Danantara's four stated priority deployment areas for its planned ~US\$13.1bn investment programme

Dimension	Assessment
Government Priorities	Food self-sufficiency (particularly rice and other staples), reducing import dependence, expanding irrigation and mechanization, and per the July 2026 joint statement cooperating with India on global food security and rural-development vulnerabilities
Major Indonesian Players	State food-logistics agency Bulog, large agribusiness conglomerates (Sinar Mas Agribusiness, Wilmar-linked entities) concentrated in palm oil
Major Foreign Players	Palm-oil and plantation-linked multinationals; limited foreign presence in smallholder-facing Agri input and mechanization markets
Key Challenges	Fragmented smallholder land-holding patterns limit mechanization economics; weak rural cold-chain and logistics infrastructure; import-substitution policy can create market-access friction for foreign Agri-input suppliers
India's Existing Capabilities	India has a large, cost-competitive agricultural-machinery industry (tractors, implements), significant experience in smallholder-oriented Agri-extension models, and a growing Agri-tech/drone sector
India-Indonesia Opportunity	Export of agricultural machinery and implements suited to smallholder plot sizes; Agri-tech and irrigation-technology partnerships; potential cooperation on food-security-linked initiatives flagged in the July 2026 joint statement
Potential Business Models	Direct machinery/input export and distribution partnerships; Agri-tech licensing and pilot programs; potential participation in Danantara-linked agriculture projects
CCI's Potential Role	Build an Agri-Tech & Investment Forum connecting Indian Agri-machinery and Agri-tech companies with Indonesian smallholder cooperatives, Bulog and Danantara's agriculture program
Priority Rating	Medium (large need and reasonable Indian capability fit, but smallholder-market economics require patient, volume-driven business models rather than quick wins)

4. KEY CHALLENGES

Indonesia is not an easy market, and this paper deliberately avoids presenting it as one. The challenges below are structural rather than transient, and Indian companies evaluating Indonesian opportunities should weigh them explicitly against the sector opportunities

4.1 Regulatory Complexity

Despite OSS (Online Single Submission) reforms, Indonesia's licensing regime remains layered across national, provincial and district (kabupaten/kota) authorities, and regulatory interpretation can vary significantly by region. Frequent regulatory updates (e.g., the 2025 KBLI business-classification revision) require ongoing compliance monitoring.

4.2 Licensing & Market Entry

Foreign investors must incorporate as a PT PMA and satisfy sector-specific "Negative Investment List" (now the Positive Investment List/Priority List) restrictions, which close or cap foreign ownership in certain sectors. While minimum paid-up capital was reduced under BKPM Regulation 5/2025, the overall incorporation and licensing timeline can still extend several months for complex sectors.

4.3 Local Content Requirements

TKDN (Tingkat Komponen Dalam Negeri, local-content) requirements apply across manufacturing, automotive, telecommunications and government procurement, and can materially affect the economics of straightforward equipment or component exports, sometimes necessitating local assembly or component-sourcing partnerships to remain competitive for public and quasi-public contracts.

4.4 Infrastructure Gaps

Outside Java and a handful of other developed corridors, transport, power and digital infrastructure remain underdeveloped, raising the effective cost of doing business in outer-island provinces where much of the mining and agriculture sectors are concentrated.

4.5 Logistics & Inter-Island Connectivity

Indonesia's archipelagic geography imposes a structural logistics-cost premium relative to continental economies; inter-island shipping costs and port-capacity constraints affect both domestic distribution and the economics of manufacturing investment intended to serve the whole national market.

4.6 Skilled Workforce

Technical and vocational skills gaps particularly in industrial automation, advanced manufacturing and specialized engineering constrain the pace at which foreign investors can scale local operations, even where investment capital and market access are otherwise available.

4.7 Productivity

Labour productivity growth has lagged Indonesia's peers in several sectors, a concern explicitly raised by the IMF's January 2026 Article IV consultation, which called for structural reforms to enable a more "jobs-rich" growth path.

4.8 Financing

Domestic financing costs remain relatively high, and long-payback infrastructure and renewable-energy projects can struggle to secure competitively priced local currency financing, increasing reliance on either foreign currency debt (with associated exchange-rate risk) or concessional/multilateral financing.

4.9 Commodity Dependence

Despite down streaming efforts, Indonesia's export basket and fiscal revenues remain significantly exposed to commodity-price cycles (coal, palm oil, nickel), and a sustained downturn in any of these can flow through quickly to growth, investment sentiment and currency stability as reflected in periodic sovereign-outlook revisions.

4.10 Energy Transition

The pace of Indonesia's shift away from coal is constrained by the domestic coal industry's political-economic weight (including its role in powering nickel smelters) and by the financing gap for renewable alternatives, creating tension between climate commitments and near-term industrial strategy.

4.11 Climate & Natural Disaster Risk

Indonesia's geography exposes it to significant seismic, volcanic and flood risk, which affects infrastructure design standards, insurance costs and supply-chain resilience planning for foreign investors, particularly in coastal and industrial-estate locations. These risks can increase project-development and operating costs, particularly where facilities require higher structural resilience, drainage capacity and emergency-response systems. Investors may also need to conduct more detailed site-level risk assessments and business-continuity planning, especially for manufacturing, logistics and warehousing operations.

4.12 Regional Inequality

Economic activity and infrastructure investment remain heavily concentrated in Java, and government efforts to redirect investment toward outer islands (including through down streaming-linked industrial parks in Sulawesi and Maluku) are only partially closing this gap.

4.13 Digital Infrastructure

As the World Bank's December 2025 report notes, internet speeds are falling behind regional peers and many rural users, schools and health facilities lack high-speed connectivity, constraining the productivity gains Indonesia's large digital economy could otherwise generate.

4.14 Technology & Manufacturing Capability

Indonesia's manufacturing base remains oriented toward assembly and lower-value-added processing rather than design, engineering or advanced-component manufacturing, limiting the depth of technology transfer that foreign partners can expect from purely transactional trade relationships.

4.15 Foreign Investor Challenges

The U.S. State Department's 2025 Investment Climate Statement and other assessments note that while BKPM serves as a genuine single point of contact for many sectors, inconsistent implementation of national policy at sub-national level, and evolving requirements (such as the mid-2026 KBLI classification migration deadline), continue to create compliance uncertainty for foreign investors.

4.16 MSME Constraints

Indian MSMEs interested in the Indonesian market typically lack the in-country legal, regulatory and distribution relationships needed to navigate licensing and local-partner requirements independently, making them disproportionately dependent on facilitation support from institutions such as CCI, Invest India or Indonesia-based intermediaries.

Challenge	Severity	Impact on Business	Potential Indian Solution	Possible CCI Role
Regulatory complexity	High	Slows market entry; raises compliance cost	Engage experienced local regulatory-affairs partners before committing capital	Maintain a vetted directory of Indonesian legal/regulatory advisors for Indian companies

Challenge	Severity	Impact on Business	Potential Indian Solution	Possible CCI Role
Licensing & market entry (PT PMA, sector lists)	High	Can block or cap foreign ownership in restricted sectors	Structure entry via joint ventures where full ownership is restricted	Pre-screen sector-specific ownership rules for Indian companies before matchmaking
Local content (TKDN) requirements	Medium-High	Straightforward export model may not be viable for public-linked contracts	Local assembly/component-sourcing partnerships	Facilitate JV introductions with Indonesian component manufacturers
Infrastructure gaps (outer islands)	Medium	Raises operating cost outside Java	Phase market entry via Java before expanding to outer islands	Provide realistic geographic-sequencing guidance to Indian investors
Logistics & inter-island connectivity	Medium	Higher distribution costs, longer lead times	Partner with established Indonesian logistics/distribution networks	Connect Indian exporters with vetted Indonesian logistics partners
Skilled workforce gaps	Medium	Constrains pace of scaling local operations	Combine technology transfer with structured local training programmes	Facilitate India-Indonesia vocational-training and skill-exchange partnerships
Productivity constraints	Medium	Affects unit economics of labour intensive investment	Favor capital/technology-intensive rather than purely labour-cost-arbitrage models	Share Indian productivity/automation case studies relevant to Indonesian counterparts
Financing costs and availability	Medium-High	Long-payback projects (renewables, infrastructure) harder to finance locally	Structure deals with Indian export-finance or concessional-lending support	Connect Indian project sponsors with EXIM Bank of India and relevant financing institutions
Commodity dependence / price cycles	Medium	Exposes revenue and currency stability to external shocks	Diversify exposure across sectors rather than concentrating on single commodities	Track commodity-cycle risk in CCI's ongoing market intelligence for members

Challenge	Severity	Impact on Business	Potential Indian Solution	Possible CCI Role
Energy transition pace	Medium	Slower-than-expected renewable-project pipeline	Position as long-term technology/EPC partner rather than expecting rapid near-term scale	Maintain dialogue with PLN/Danantara on realistic renewable project timelines
Climate & natural disaster risk	Medium	Higher insurance and design-standard costs	Factor seismic/flood-resilient design standards into project costing upfront	Share risk-mapping resources with Indian investors evaluating specific locations
Regional inequality (Java concentration)	Medium	Outer-island opportunities carry higher execution risk despite policy incentives	Weigh incentive packages against actual infrastructure readiness before committing	Validate on-the-ground infrastructure readiness for outer-island opportunities flagged by BKPM
Digital infrastructure gaps	Medium	Limits addressable market for some digital services outside urban areas	Prioritize urban/enterprise digital-services markets first, rural connectivity plays as longer-term bets	Support India-Indonesia digital-public-infrastructure knowledge exchange
Manufacturing/technology capability gap	Medium	Limits depth of technology transfer in purely transactional deals	Structure partnerships with explicit technology-transfer or training components	Encourage technology-partnership terms in CCI-facilitated deals, not export-only arrangements
Foreign investor implementation uncertainty	Medium-High	Compliance requirements can shift with limited notice (e.g., KBLI migration deadlines)	Maintain active regulatory-monitoring capability rather than one-time compliance checks	Issue periodic regulatory-update briefings to Indian companies operating in or entering Indonesia
MSME constraints	High for MSMEs specifically	Indian MSMEs often cannot independently navigate licensing/distribution requirements	Use aggregator/consortium models to share in-country support costs across multiple MSMEs	Operate a dedicated MSME internationalization track within the CCI Facilitation Desk.

What Indonesia Needs from International Business Partners

Across the challenges above, a consistent pattern emerges: Indonesia needs partners willing to combine capital or products with patient, locally embedded engagement technology transfer, local training, and a willingness to navigate a genuinely federal-in-practice regulatory environment rather than partners seeking simple, low-commitment export or extraction relationships.

This has direct implications for how CCI should position Indian companies: those offering only transactional export deals will face the same frictions as any other foreign entrant, while those willing to structure joint ventures, local manufacturing or technology-transfer components are more likely to align with Indonesia's own stated development priorities and therefore receive more favorable regulatory and institutional support. This suggests that successful market entry will depend not only on commercial competitiveness, but also on the ability to build long-term institutional and business relationships within Indonesia. Indian companies that combine market access with skills development, technology localization, supplier development and local partnerships can potentially create stronger and more sustainable positions than firms pursuing purely transactional opportunities. For CCI, this creates an opportunity to act as a bridge between Indian businesses and Indonesian government agencies, industry associations, investors and local partners.

5. INDIA–INDONESIA TRADE & ECONOMIC RELATIONS

5.1 Bilateral Trade

Bilateral trade between India and Indonesia grew nearly nine-fold between 2005-06 (US\$4.30 billion) and its 2022-23 peak of US\$38.84 billion, but has since moderated for two consecutive years to US\$29.40 billion in 2023-24 and US\$28.15 billion in 2024-25 (Ministry of Commerce & Industry / IBEF data, quoting Rupee and Dollar figures).

This moderation matters for CCI's messaging: several public sources continue to cite the 2022-23 peak figure of US\$38.84 billion as if it were the current trade level, when the latest available full-year data (2024-25) shows trade roughly 27% below that peak.

The two countries had targeted US\$50 billion in bilateral trade by 2025a target that, on current data, has not been met. Indonesia remains India's second-largest trading partner within ASEAN, while India is Indonesia's eighth-largest trading partner overall.

5.2 Major Indian Exports to Indonesia

India's exports to Indonesia are led by refined petroleum products, followed by a diversified basket of agricultural, engineering and industrial goods. At the HS4 level (2024 calendar-year data), the leading individual product lines were refined petroleum (~US\$759 million), groundnuts (~US\$308 million), and special-purpose ships (~US\$229 million).

Other significant categories reported across trade-data sources include commercial vehicles, telecommunications equipment, animal feed, machinery, chemicals, plastics, steel products, and bovine meat. Year-on-year data for April 2026 showed growth concentrated in petroleum products, motor vehicles/cars, and pharmaceutical formulations a signal that pharmaceutical exports to Indonesia are an emerging growth line worth deliberate cultivation rather than an already-mature category.

5.3 Major Indonesian Exports to India

Indonesia's exports to India are dominated by coal and palm oil. Coal (mineral fuels) was Indonesia's single largest export to India, valued at roughly US\$6.3–9.5 billion depending on the exact product classification and year used (sources reviewed range from a 2024 figure of US\$6.327 billion for coal specifically to a broader "mineral fuels, oils, distillation products" Comtrade category of US\$9.46 billion for the same year) a divergence that reflects classification differences rather than contradictory data, but one CCI should resolve against a single primary source (DGCIS or UN Comtrade) before quoting a single figure externally. Palm oil is the second-largest category (US\$4.35–4.56 billion, 2024), followed by iron and steel (~US\$1.86 billion), ores/slag/ash (~US\$1.20 billion) and copper ore (~US\$1.1 billion).

A significant recent development is a roughly 11-million-tonne year-on-year drop in Indonesian coal exports to India during 2025, driven by a combination of India's own domestic coal-production push and Indonesia's introduction of a minimum reference price (Harga Batubara Acuan, HBA) of approximately US\$128/tonne price floor above prevailing global benchmarks that has made Indonesian coal less price-competitive for Indian buyers. This is a concrete, current signal that the coal trade relationship long the single largest component of bilateral trade is entering a structural decline, reinforcing the case for actively diversifying bilateral trade toward the higher-value sectors.

5.4 Trade Complementarity

Indonesia's demand matches India's supply capability	India's demand matches Indonesia's supply capability
Refined petroleum products (India has surplus refining capacity)	Thermal coal (though this relationship is now in structural decline see 5.3)
Generic pharmaceuticals and APIs (Indonesia is import-dependent)	Palm oil and vegetable oils (India is the world's largest palm-oil importer)

Indonesia's demand matches India's supply capability	India's demand matches Indonesia's supply capability
Engineering goods, machinery and industrial components	Coal, base metals and metal ores
Agricultural machinery and agri-inputs suited to smallholder farming	Rubber, cocoa and other tropical agricultural commodities
IT services, enterprise software and digital-public-infrastructure technology	Processed nickel and battery-grade materials (a nascent, not yet significant, trade line)
Two-wheeler and EV component technology	Coconut and palm-derived oleochemicals

5.5 Investment Relationship

The investment relationship remains modest relative to the scale of trade. Cumulative Indian investment in Indonesia totalled approximately US\$1.56 billion across 7,292 projects between 2000 and 2024 (Ministry of Commerce & Industry data via IBEF), with roughly 100 Indian companies and joint ventures currently operating in the country across sectors including energy, coal, and diversified industrial named examples cited in Indian government bilateral briefing material include BPRL (Bharat Petroleum's overseas exploration arm), Adani, Tata Power, Essar and Coal India, primarily in the energy and coal-linked space. In the reverse direction, Indonesian cumulative investment into India totalled approximately US\$668.37 million between January 2000 and September 2025, smaller still, and concentrated in a narrower set of transactions than India's outward investment into Indonesia.

Both figures are small relative to the scale of bilateral trade (a cumulative investment stock of roughly US\$2.2 billion combined, against annual trade flows of US\$28 billion), underscoring that the relationship today is overwhelmingly a trading relationship in commodities rather than an investment or industrial partnership precisely the gap this paper is structured to address.

Some recent institutional steps toward deeper financial and capital-market integration are worth noting: the Association of Mutual Funds in India (AMFI) and the Association of Investment Managers of Indonesia (AMII) signed an MoU on 25 January 2025 to explore cross-investment cooperation between the two countries' capital markets.

NPCI International Payments Limited (NIPL) signed a non-disclosure agreement with Indonesia's payment systems association (ASPI) in June 2024 to progress a UPI-QRIS interoperable payments linkage, with technical discussions between NIPL and Indonesia's payment "switcher" companies reported as ongoing into December 2025. These are precursors to, rather than evidence of, a mature investment relationship, but they indicate the direction of travel that the July 2026 State Visit has since reinforced at the political level.

5.6 Existing Business Partnerships

Beyond the individually named energy-sector investors above, the Embassy of India in Jakarta has run periodic business-community engagement events for example, "India Night," held on 28 January 2026 in Jakarta in collaboration with Investor trust Indonesia, which brought together roughly 100 Indian companies and diaspora businesses with Indonesian government officials from BKPM and Danantara to discuss investment-climate issues and the challenges Indian investors currently face. This is a useful precedent for the kind of standing engagement CCI's proposed Facilitation Desk could institutionalize and run more frequently, rather than as a one-off event tied to a diplomatic visit.

5.7 Untapped Economic Potential

Taken together, three specific gaps CCI can realistically target: (1) a trade relationship overly concentrated in coal and palm oil, now facing a structural decline in its largest single component; (2) an investment relationship an order of magnitude smaller than the trade relationship, concentrated in energy rather than the higher-value sectors (pharma, digital, engineering) where India has stronger comparative advantage; and (3) a series of nascent institutional linkages (payments interoperability, capital-markets cooperation, the EFD) that have been initiated at the government/regulator level but have not yet been matched by scaled private-sector engagement.

India–Indonesia Economic Opportunity Matrix

Area	Indonesia Advantage	India Advantage	Opportunity	Potential Business Model
Critical minerals / EV materials	World-leading nickel reserves and processing capacity	Growing battery/EV manufacturing base needing diversified material sources	Offtake and mid-stream JV opportunities for Indian battery-material buyers	Long-term offtake contracts; minority equity JV

Area	Indonesia Advantage	India Advantage	Opportunity	Potential Business Model
Pharmaceuticals	Large, price-sensitive, insurance-driven demand; import-dependent for APIs	World's largest generic-medicine exporter; strong API manufacturing base	Export growth and local-formulation JV potential, reinforced by July 2026 licensing-cooperation agreement	Direct export; formulation JVs; regulatory-partnership model
Renewable energy	Large under-exploited geothermal/solar resource; centralized utility (PLN) as anchor buyer	Cost-competitive solar EPC and manufacturing base (PLI-supported)	EPC and equipment-supply contracts with PLN and private IPPs	EPC contracts; equipment export; technical-services partnerships
Digital economy / IT services	Largest ASEAN digital economy by GMV; recognized data-centre/DPI gaps	Globally competitive IT-services industry; exportable DPI stack (UPI/ONDC)	Enterprise IT-services contracts and DPI-linked digital-payments cooperation	IT-services contracts; DPI technology licensing; data-centre JVs
Agri-machinery and agri-tech	Smallholder-dominated, under-mechanized agriculture; food-security priority	Cost-competitive agri-machinery industry; smallholder-oriented agri-tech experience	Machinery/implement exports and agri-tech pilot partnerships	Distribution partnerships; agri-tech licensing pilots
Engineering goods & industrial components	Growing industrial-park base needing component suppliers; TKDN incentives for local sourcing	Large, diversified engineering-goods export base	Component supply into existing OEM/industrial-park supply chains	Direct export; component-manufacturing JVs inside industrial parks

Key Implications for CCI

- The single biggest data point CCI should internalize is that bilateral trade has declined for two consecutive years from its 2022-23 peak, and that decline is concentrated in coal meaning CCI's messaging around "record trade growth" needs correcting, not repeating.
- The investment relationship (~US\$2.2 billion combined stock) is disproportionately small relative to trade (US\$28 billion annually) and relative to the ambitions set out in the July 2026 Joint Statement this gap, not the trade relationship itself, is where CCI's facilitation role can add the most value.
- Nascent regulator-to-regulator linkages (payments interoperability, capital-markets cooperation) need a private-sector, company-level counterpart to become commercially meaningful a role CCI is well placed to play.
- Existing India-Indonesia investment is concentrated in the energy/coal sector; CCI's institutional role should actively work to diversify this toward pharma, digital, engineering and renewables,

6. TRADE & INVESTMENT OPPORTUNITIES

This section identifies concrete, actionable opportunities rather than repeating the sector-level analysis. For each opportunity area, the test applied is the one set out in this paper's brief: is there genuine demand, is India competitive, what regulatory or local-partner barriers exist, and can CCI realistically help move it forward.

6.1 Export Opportunities

The strongest near-term Indian export opportunities are those where India already has proven, price-competitive supply and Indonesia has a demonstrated, growing, or currently import-dependent demand: generic pharmaceuticals and APIs (reinforced by the July 2026 licensing-cooperation agreement); refined petroleum products (India's largest existing export line to Indonesia); agricultural machinery and implements sized for smallholder plots; auto components for existing Japanese-brand-linked supply chains; specialty and agro-chemicals; telecommunications and IT-services exports; and renewable-energy equipment (solar modules, inverters). Rice and spices are periodically cited as growth categories but are subject to Indonesia's food-security-driven import restrictions and should be pursued cautiously and only with verified current trade-policy status. Each of these should be treated as a "Potential Opportunity" until validated against a specific Indonesian buyer or distributor relationship, at which point it becomes "Actionable."

6.2 Investment Opportunities

Realistic investment opportunities cluster around minority-stake or joint-venture models rather than large-scale greenfield entry, given the capital intensity of Indonesia's priority sectors (metals, EV, data centres) and the dominance of well-capitalized domestic and Chinese investors in those spaces.

The most realistic Indian investment entry points are: formulation-manufacturing joint ventures in pharmaceuticals; component-manufacturing joint ventures inside existing industrial parks (to meet TKDN requirements); minority participation in Danantara-linked chemicals or agriculture projects; and data-centre or IT-services joint ventures leveraging India's DPI and cloud/IT-services expertise. Greenfield investment in integrated EV manufacturing or large-scale nickel processing is, based on the evidence, not a realistic near-term opportunity for most Indian companies and should not be oversold as such.

6.3 Technology Opportunities

India's most exportable technology assets for the Indonesian context are: its Digital Public Infrastructure stack (UPI, ONDC, Aadhaar-linked systems), already the subject of active government-to-government discussion; solar and renewable-energy engineering technology; agri-tech and precision-agriculture tools suited to smallholder economics; and pharmaceutical formulation and API-manufacturing technology. In each case, the opportunity is strongest where Indonesia has an explicitly stated gap (data-centre/DPI regulatory readiness, renewable-energy financing and technology, agri-mechanization) rather than where India simply has a technology to offer.

6.4 Supply-Chain Opportunities

The proposition of an "India + Indonesia regional supply chain" is genuine in some areas (critical minerals feeding into Indian battery/EV manufacturing; Indian pharmaceutical inputs feeding Indonesian formulation) but should not be overstated in EV/battery manufacturing itself, given the LFP-chemistry mismatch. The more credible supply-chain narrative is: Indonesia as a critical-minerals and palm-oil/oleochemicals supplier to India, and India as a pharmaceutical-input, engineering-component and digital-infrastructure supplier to Indonesia complementary rather than fully integrated manufacturing relationship. The strongest opportunities are therefore likely to emerge through selective value-chain integration rather than end-to-end manufacturing integration. Indian companies can use Indonesia as a source of competitively priced raw materials and intermediate inputs while supplying higher-value manufactured, technical and digital solutions into the Indonesian market. This creates scope for long-term offtake agreements, supplier partnerships, contract manufacturing and technology-transfer arrangements. CCI can help identify complementary firms on both sides and structure these relationships around specific sector-level supply-chain gaps rather than broad bilateral trade ambitions.

6.5 ASEAN Opportunity

Given Jakarta's role as the ASEAN Secretariat's seat, and Indonesia's position as ASEAN's largest economy, a well-functioning India-Indonesia business relationship can plausibly serve as an anchor for CCI's broader ASEAN strategy using Jakarta-based relationships and institutional access (KADIN Indonesia, ASEAN Secretariat proximity) to support engagement with other ASEAN markets, particularly as India and ASEAN revisit the AITIGA framework following the July 2026 summit's commitment to do so.

6.6 Opportunity Ranking

Top 15 India–Indonesia Business Opportunities

Opportunity	Sector	Why Now	Indian Capability	Indonesian Requirement	Business Model	Priority
Generic pharma & API exports	Pharma	July 2026 licensing-cooperation agreement; large import-dependent market	World's largest generic-medicine exporter	BPOM registration; local distribution partner	Direct export / distribution JV	Very High
IT-services & DPI cooperation	Digital	Existing UPI-QRIS/NIPL-ASPI technical track since 2024	Proven DPI stack; large IT-services base	Local regulatory alignment; data-localization compliance	Technology licensing; systems-integration contracts	Very High
Solar EPC & equipment supply	Energy	Large under-exploited solar potential; PLI-backed Indian manufacturing	Cost-competitive EPC and module supply	PLN/IPP procurement access	EPC contracts; equipment export	High
Agri-machinery & agri-tech	Agriculture	Danantara agriculture priority; food-security cooperation agreed July 2026	Smallholder-oriented machinery and agri-tech base	Distribution network; local demonstration pilots	Distribution partnerships; agri-tech licensing	Medium-High
Auto components (existing OEM chains)	Automotive	Established Japanese-OEM supply chains open to competitive sourcing	Large, cost-competitive component export base	Meeting existing OEM quality/TKDN standards	Direct supply agreements	Medium-High
Critical-minerals offtake for Indian battery makers	Mining/EV	India seeking diversified nickel/battery-material sources	Growing domestic battery-manufacturing demand	Long-term offtake negotiation with Indonesian producers	Offtake contracts; minority JV	High

Opportunity	Sector	Why Now	Indian Capability	Indonesian Requirement	Business Model	Priority
Engineering goods & industrial machinery exports	Manufacture	Steady industrial-park expansion	Diversified capital-goods export base	Distributor relationships; TKDN navigation for public contracts	Direct export; local component JV	Medium-High
Specialty & agro-chemicals exports	Chemicals	Import-dependence for several intermediates; Danantara chemicals priority	Large diversified chemicals industry	BPOM/regulatory registration	Direct export; distribution agreements	Medium-High
Two/three-wheeler EV technology licensing	Automotive/ EV	Large domestic two-wheeler market; India's EV two-wheeler strength	Proven two/three-wheeler EV manufacturing base	Local assembly/distribution partner	Technology licensing; JV assembly	Medium
Port & logistics EPC/consultancy	Infrastructure	Sabang Port and broader port-modernization interest flagged July 2026	Indian EPC/engineering-consultancy experience	Competing with established Chinese/Japanese financing terms	EPC subcontracting; consultancy contracts	Medium
Digital payments interoperability (UPI-QRIS)	Digital	NIPL-ASPI technical discussions ongoing since 2024	Proven UPI model with multi-country precedent	Commercial agreements with Indonesian switcher companies	Government-to-government-enabled commercial rollout	High
Capital-markets cross-investment cooperation	Financial services	AMFI-AMII MoU signed January 2025	Large, mature asset-management industry	Regulatory alignment between SEBI/OJK-equivalent frameworks	Cross-border fund distribution partnerships	Medium
Hospital & medical-education partnerships	Healthcare	Medical-professional-licensing cooperation agreed July 2026	Large private-hospital and medical-education sector	Licensing/mutual-recognition framework implementation	Institutional partnerships; training agreements	Medium
Waste-to-energy project participation	Energy/Infrastructure	One of Danantara's four stated priority investment areas	Indian waste-management and EPC experience (nascent international)	Securing Danantara/PLN project access	Minority JV; EPC subcontracting	Emerging

Opportunity	Sector	Why Now	Indian Capability	Indonesian Requirement	Business Model	Priority
Defense-adjacent engineering & MRO services	Defense/Engineering	BrahMos agreement signals deeper defense-industrial cooperation	Growing Indian defense-manufacturing and MRO base	Government-to-government framework already in place	Government-facilitated industrial cooperation	Medium (govt-led, limited direct CCI role)

7. HOW CCI INDIA CAN COLLABORATE / INTERVENE

The evidence supports a specific, narrower version of CCI's proposed positioning as an "India-Indonesia Business Bridge": the political-level relationship is unusually active but the private-sector, company-level follow-through has consistently lagged visible in a declining trade relationship, a thin investment relationship, and technical-level cooperation (payments, capital markets) that has not yet scaled commercially. This is exactly the gap a chamber-level institution, rather than either government, is best positioned to close. CCI can therefore focus on converting high-level bilateral intent into a structured pipeline of bankable business opportunities, credible local partnerships and sustained company-to-company engagement.

7.1 CCI's Potential Role

CCI can practically contribute in the following ways, each mapped to a specific gap identified earlier in this paper:

- **Market intelligence:** maintaining current, sourced data on Indonesian sector opportunities and regulatory changes
- **Business matchmaking:** connecting specific Indian companies to specific Indonesian counterparts, buyers or distributors
- **Partner identification:** helping Indian companies find vetted local legal, regulatory and distribution partners
- **Delegation management:** organizing and following up on sector-specific trade delegations, rather than one-off events.
- **Sector forums:** convening the ten sector-specific initiatives detailed .
- **Investment facilitation:** connecting Indian investors to BKPM and Danantara for specific, named project opportunities.
- **Market-entry support:** practical guidance on PT PMA incorporation, OSS licensing and TKDN compliance.
- **Regulatory orientation:** briefings on regulatory changes
- **MSME internationalization:** aggregator/consortium models that let smaller Indian companies share in-country support costs.

- **Technology matchmaking:** connecting Indian technology providers (DPI, agri-tech, renewable-energy) with relevant Indonesian government and private-sector counterparts.
- **JV facilitation:** structuring introductions specifically toward joint-venture rather than export-only outcomes where TKDN or ownership rules require it.
- **Government-business engagement:** maintaining CCI's own direct channels with BKPM, Danantara, KADIN Indonesia and the two countries' embassies.
- **Project identification:** building and maintaining the "Indonesia Project Bank" described.
- **Post-B2B follow-up:** the single most commonly missing function in past engagement, per the pattern identified. CCI should build in systematic follow-up after every matchmaking event rather than treating the event itself as the deliverable.

7.2 India–Indonesia Business & Investment Facilitation Desk

CCI should establish a dedicated India-Indonesia Business & Investment Facilitation Desk, structured as follows:

Element	Detail
Objective	Provide a standing, continuously staffed point of contact rather than a summit-linked, one-off function for Indian companies seeking to engage the Indonesian market and for Indonesian counterparts seeking Indian partners
Target users	Indian MSMEs and large companies across the ten priority sectors ; Indonesian companies and institutions (BKPM, Danantara, KADIN) seeking Indian partners
Services	Market intelligence briefings; partner/distributor identification; matchmaking and delegation coordination; regulatory-update alerts; MSME aggregator support; post-meeting follow-up tracking
Institutional partners	Embassy of India, Jakarta; Embassy of Indonesia, New Delhi; Invest India; BKPM; Danantara; KADIN Indonesia; relevant Export Promotion Councils
Operating model	A small core CCI secretariat team in India, working with a designated Indonesia-based liaison (via the Embassy of India commercial wing or a retained local partner), rather than a large standalone Jakarta office in the initial phase

Element	Detail
Team requirements	A desk head with Southeast Asia trade experience; sector-liaison points of contact drawn from CCI's existing sector committees; a dedicated MSME-support coordinator
Engagement process	Inbound/outbound enquiry intake, sector-committee triage, curated introduction, structured follow-up at 30/90/180-day intervals
Lead generation	Sourced from CCI's member base, sector forums, and direct BKPM/Danantara project pipelines
Follow-up mechanism	Mandatory 30/90/180-day check-ins on every facilitated introduction, tracked against the KPIs below
KPIs	Number of qualified introductions made; conversion rate of introductions to signed agreements or pilot orders; number of MSMEs actively supported; regulatory briefings issued per quarter

7.3 CCI's Institutional Advantage

CCI's distinct value relative to government-to-government channels lies in: its existing Indian business network spanning large industry and MSMEs; sector-specific technical knowledge accumulated through its committees; the ability to mobilize delegations without the protocol constraints of official visits; and cross-sector connectivity that lets it match, for example, an agri-tech company with both an agriculture-sector opportunity and a relevant financing partner within its own network something neither BKPM nor the Indian Ministry of Commerce is structured to do at the level of individual companies.

7.4 Proposed CCI–Indonesia Institutional Partnerships

CCI should pursue structured cooperation agreements (MoUs) with: KADIN Indonesia (the natural apex counterpart); BKPM (for investment-facilitation coordination); Danantara (for large-project co-investment introductions); relevant Indonesian sector associations (particularly in pharma, digital economy and renewable energy, per the priority sectors); Indonesian industrial-park operators (for component-manufacturing JV facilitation); the Embassy of Indonesia in New Delhi and the Embassy of India in Jakarta (for protocol and logistical support); and Indian counterpart institutions Invest India, relevant Export Promotion Councils, and NITI Aayog to ensure CCI's Indonesia program is coordinated with, not duplicative of, existing government initiatives such as the India-Indonesia Economic and Financial Dialogue.

8. SECTOR-WISE CCI INITIATIVES

This section converts the sector analysis into ten specific CCI programs. Each initiative is scoped realistically against the priority ratings already assigned initiatives for Very High/high priority sectors are proposed with more ambitious near-term targets than those for Medium/Emerging sectors. The programs are designed to move beyond one-off delegations or networking events and create measurable business outcomes. Each initiative combines market intelligence, targeted matchmaking, institutional engagement and post-meeting follow-through.

8.1 Mining, Critical Minerals & Advanced Materials

Initiative: India-Indonesia Critical Minerals & Advanced Materials Business Forum.

Focus: Critical mineral sourcing, downstream processing, battery-material partnerships and investment opportunities across the India–Indonesia minerals value chain.

8.2 Manufacturing & Engineering

Initiative: India-Indonesia Manufacturing Partnership Program.

Focus: machinery, engineering, automation, components and Industry 4.0 technology. This program should prioritize recurring buyer-seller meets co-located with Indonesian industrial-park operators (Karawang, Cikarang, Batam) rather than standalone conferences, to maximize the chance of on-the-ground deal conversations. The program should also promote technology transfer, local supplier development and joint ventures that can help Indian firms meet Indonesia's TKDN requirements.

CCI can facilitate targeted connections between Indian engineering companies, Indonesian manufacturers, industrial-park operators and local distributors to build repeat business relationships rather than one-off transactions.

8.3 Energy & Renewable Energy

Initiative: India-Indonesia Green Energy Connect.

Focus: solar EPC, geothermal-technology exchange, storage, grid technology, waste-to-energy and energy efficiency. Given PLN's centralized procurement role, this initiative should include a standing technical-dialogue track directly with PLN and with Danantara's waste-to-energy project team, not only with private developers. The dialogue should focus on project pipelines, technical standards, localization opportunities, financing structures and potential Indian technology partnerships. Regular business-to-government and government-to-government engagement would also help identify upcoming tenders and align Indian capabilities with Indonesia's evolving energy-infrastructure priorities.

8.4 EV & Battery Ecosystem

Initiative: India-Indonesia EV & Battery Alliance.

Focus: should be calibrated to the realistic opportunity identified: nickel/battery-material offtake, component-level partnerships, and two/three-wheeler EV technology licensing explicitly not positioned as a vehicle for attracting large-scale integrated EV-manufacturing investment from India, which is not a realistic near-term outcome given India's own position as a net importer of battery materials.

8.5 Automotive & Auto Components

Initiative: India-Indonesia Automotive Partnership Forum.

Focus: auto components, EV components, two-wheelers, commercial vehicles and automotive electronics, structured around introductions to existing Japanese-OEM-linked and Astra Group-linked supply chains, plus Indonesia's major automotive trade fairs.

8.6 Infrastructure, Construction & Logistics

Initiative: India-Indonesia Infrastructure & Logistics Partnership

Focus: Project identification, EPC partnerships and investment matchmaking across ports, roads, logistics hubs, warehousing, cold-chain and Nusantara-linked infrastructure through a CCI-led Indonesia Project Bank.

8.7 Digital Economy, IT & Data Centres

Initiative: India-Indonesia Digital Business Bridge.

Focus: data centres, cloud/IT-services, cybersecurity, SaaS, and building directly on the existing NIPL-ASPI technical track digital payments interoperability. This is one of the two sectors this paper rates Very High priority, and should receive proportionately more CCI resourcing than lower-priority initiatives.

8.8 Chemicals, Petrochemicals & Pharmaceuticals

Initiative: India-Indonesia Chemicals & Pharma Partnership Forum.

Focus: APIs, generics, formulations, specialty chemicals and petrochemicals, with a dedicated regulatory-navigation track to help Indian pharmaceutical exporters through Indonesia's BPOM registration process the single most commonly cited practical barrier for pharma market entry.

8.9 Healthcare & Medical Technology

Initiative: India-Indonesia Healthcare Partnership Platform.

Focus: Pharmaceuticals, hospitals, medical devices, diagnostics, digital health, telemedicine, health-tech, healthcare infrastructure, medical education, professional training, technology transfer, clinical research, health-data solutions, affordable healthcare delivery, hospital partnerships, healthcare workforce mobility, capacity building, B2B partnerships, investment opportunities, technology collaboration, market access, healthcare supply chains, medical tourism, preventive healthcare, public health solutions, health insurance technology, remote healthcare delivery, regulatory cooperation, joint ventures and localization of healthcare products and services.

The platform will facilitate structured B2B matchmaking, joint ventures, technology partnerships, investment linkages and knowledge exchange between Indian and Indonesian healthcare stakeholders. CCI can also support regulatory navigation, identification of qualified partners, market-entry opportunities and implementation of healthcare cooperation agreements, creating a sustained mechanism for converting bilateral commitments into practical commercial and institutional outcomes.

8.10 Agriculture & Agro-Industry

Initiative: India-Indonesia Agri-Tech & Investment Forum.

Focus: mechanization, irrigation, agri-tech, drones, farm technology and agricultural equipment, targeted at Indonesian smallholder cooperatives and Bulog, and aligned with Danantara's agriculture priority-investment track and the food-security cooperation agreed in the July 2026 joint statement.

The forum should emphasize practical technology adoption through demonstrations, pilot projects and supplier partnerships rather than standalone technology showcases. It can also facilitate Indian partnerships in post-harvest management, cold-chain solutions, food processing and storage to reduce agricultural losses and strengthen value chains. CCI can connect Indian agri-tech companies with Indonesian cooperatives, agribusinesses and investment platforms, with structured follow-up to develop pilots into scalable commercial projects. The focus should also include precision agriculture, climate-resilient farming and water-efficient technologies suited to Indonesian smallholders.

Priority can be given to seed technology, farm inputs, digital farm-management solutions and post-harvest technologies. CCI can facilitate demonstration farms and pilot projects to validate Indian technologies under local conditions. The programme should also explore contract farming, agribusiness partnerships and joint ventures for scalable deployment.

Sector Initiative Matrix

Sector	CCI Initiative	Indonesian Requirement	Indian Capability	Target Partners	Business Model	Priority
Mining & Critical Minerals	Critical Minerals & Advanced Materials Business Forum	Diversified investment/technology sources; ESG-compliant processing technology	Metallurgical and battery-material expertise	Antam, Vale Indonesia, MIND ID, Danantara	Offtake; minority JV	High
Manufacturing & Engineering	Manufacture Partnership Program	Domestic component supply chains; Industry 4.0 adoption	Machinery and automation export base	Industrial-park operators, Astra Group	Direct export; component JV	Medium-High
Energy & Renewables	Green Energy Connect	Renewable-capacity expansion; grid modernization	Cost-competitive solar EPC	PLN, Danantara, private IPPs	EPC contracts; equipment export	High
EV & Battery	EV & Battery Alliance (component-level focus)	Diversified battery-material sources; two-wheeler EV technology	Battery-material demand; two/three-wheeler EV base	Antam, battery-material producers	Offtake; technology licensing	Medium
Automotive	Automotive Partnership Forum	Component-supply diversification	Cost-competitive component export base	Astra Group, Indomobil, tier-1 suppliers	Direct supply agreements	Medium-High
Infrastructure & Logistics	Infrastructure & Logistics Corridor / Indonesia Project Bank	Port modernization; Nusantara-linked infrastructure	EPC and engineering-consultancy experience	Pelindo, Jasa Marga, BKPM, Danantara	EPC subcontracting; consultancy	Medium
Digital Economy & IT	Digital Business Bridge	Data-centre/DPI regulatory readiness; payments interoperability	Competitive IT-services industry; DPI stack	Telkom, GoTo, NIPL-ASPI track	IT-services contracts; DPI licensing	Very High
Chemicals & Pharma	Chemicals & Pharma Partnership Forum	Reduced API/chemical import dependence	Generic-medicine and chemicals export base	Kimia Farma, Kalbe Farma, Chandra Asri	Direct export; formulation JV	Very High
Healthcare	Healthcare Partnership Platform	Medical-licensing mutual recognition; workforce training	Private-hospital and medical-education sector	Ministry of Health, hospital groups	Institutional partnerships; training agreements	Very High

9. POTENTIAL B2B / B2G PARTNERSHIPS

9.1 B2B Partnerships

Rather than naming speculative company-to-company deals that have not been verified, this paper identifies the partnership categories most consistent with the evidence, within which CCI should identify specific companies through its matchmaking process:

- Indian pharmaceutical/API manufacturers with Indonesian pharmaceutical distributors and formulation manufacturers (Kimia Farma, Kalbe Farma and similar).
- Indian IT-services and DPI technology providers with Indonesian enterprises and government digitalization programs, building on the existing NIPL-ASPI payments-interoperability track.
- Indian solar-EPC and equipment companies with PLN and private Indonesian independent power producers.
- Indian auto-component manufacturers with Astra Group-affiliated and Indo mobil-affiliated tier-1 suppliers.
- Indian agri-machinery manufacturers with Indonesian farmer cooperatives and agri-input distributors.
- Indian engineering and EPC firms with Indonesian state construction and port entities (Pelindo, Jasa Marga, Wijaya Karya) on subcontracted or consultancy roles.
- Indian battery-material buyers with Indonesian nickel producers (Antam, Vale Indonesia) on offtake terms.

Where specific Indian or Indonesian companies are named in this paper, these reflect verified existing relationships or well-established market positions rather than proposed or fabricated partnerships; no new company-to-company partnership is asserted here that has not already been reported.

9.2 B2G Opportunities

The clearest B2G opportunities, consistent with Indonesia's own stated priorities, are in: infrastructure (port modernization, toll roads, Nusantara-linked projects, working with BKPM and Danantara); renewable energy and waste-to-energy (working with PLN and Danantara); healthcare (implementing the July 2026 medical-licensing cooperation with the Ministry of Health); digital infrastructure (data-centre and DPI cooperation with Koinfo/the relevant digital ministry and BKPM); agriculture (working with Bulog and Danantara's agriculture program on food-security-linked initiatives); and skills development.

9.3 Institutional Partnerships

Indonesian Institution	Indian Institution
KADIN Indonesia	CCI (and other Indian industry associations CII, FICCI, ASSOCHAM)
BKPM (Ministry of Investment and Downstream Industry)	Invest India
Danantara Indonesia	Indian sovereign/institutional investors and EPC consortia (facilitated via CCI)
Ministry of Trade	Ministry of Commerce & Industry, Export Promotion Councils
Ministry of Health / BPOM	Pharmexcil, Indian hospital and medical-education groups
Indonesian industrial-park operators (Karawang, Cikarang, Batam, Morowali, Weda Bay)	Indian engineering-goods and component manufacturers
PLN (state electricity utility)	Indian renewable-energy EPC and equipment companies
ASPI (Indonesian payment systems association)	NPCI International Payments Limited (NIPL)
AMII (Association of Investment Managers of Indonesia)	AMFI (Association of Mutual Funds in India)

9.4 Partnership Prioritization

B2B/B2G Partnership Priority Matrix

Partnership Area	Strategic Importance	Commercial Feasibility	Ease of Execution	Priority
Pharma/API export & formulation JVs	High	High	Medium (BPOM registration timelines)	Very High
IT-services & DPI/payments cooperation	High	High	Medium (regulatory alignment needed)	Very High

Partnership Area	Strategic Importance	Commercial Feasibility	Ease of Execution	Priority
Renewable-energy EPC with PLN	High	Medium	Medium (centralized procurement process)	High
Critical-minerals offtake	High	Medium	Low-Medium (long negotiation cycles)	High
Auto-component supply partnerships	Medium	High	Medium-High	Medium-High
Agri-machinery distribution & agri-tech pilots	Medium	Medium	Medium	Medium
Infrastructure/port EPC & consultancy	High	Medium	Low (competition from Chinese financing)	Medium
Healthcare/medical-licensing implementation	Medium-High	Medium	Medium (bilateral mutual-recognition process)	Medium-High
Capital-markets cross-investment (AMFI-AMII)	Medium	Medium	Medium	Medium
Waste-to-energy project participation	Medium	Low-Medium	Low (early-stage, Danantara led)	Emerging

10. STRATEGIC RECOMMENDATIONS

A. Recommendations for CCI

1. Establish a permanent India–Indonesia Business & Investment Facilitation Desk as a standing CCI function, supported by dedicated staff, defined responsibilities, sector leads, and published quarterly KPIs rather than operating only around summits or high-level visits.
2. Use the latest verified trade data in CCI’s messaging, including the 2024–25 bilateral trade figure of US\$28.15 billion, to maintain credibility and ensure consistency across CCI publications and engagements.
3. Concentrate CCI resources on the two Very-High-priority sectors, pharmaceuticals/healthcare and digital economy/IT, while maintaining targeted, lighter-touch engagement across Medium- and Emerging-priority sectors.
4. Formalize institutional partnerships with key Indonesian counterparts by pursuing cooperation MoUs with KADIN Indonesia, BKPM and Danantara within the next 12 months, strengthening CCI’s long-term institutional positioning.
5. Develop the Indonesia Project Bank as a living business-matching platform that is continuously updated with investment opportunities, project requirements, Indian capabilities, regulatory information and potential partners rather than maintained as a one-time compilation.
6. Establish a structured pipeline for tracking and converting business leads generated through CCI delegations, forums and institutional engagements into measurable company-level partnerships, investments and trade opportunities.

7. Create dedicated sector working groups within CCI to coordinate industry inputs, identify emerging opportunities and develop targeted India–Indonesia engagement programmes in priority sectors.
8. Build a regular India–Indonesia business intelligence and communication mechanism that provides members with updates on market opportunities, regulations, investment projects and upcoming bilateral engagements.

B. Recommendations for Indian Industry

1. Approach Indonesia as a relationship- and compliance-intensive market by building realistic timelines and budgets for BPOM, OSS, TKDN and other regulatory requirements into market-entry strategies from the outset.
2. Adopt local-partnership and manufacturing models where regulations require them by exploring joint ventures, technology partnerships and local production rather than depending exclusively on export-only models.
3. Enable MSMEs to enter Indonesia collectively through CCI-supported aggregators, consortiums, sector delegations and shared market-entry mechanisms that can reduce individual legal, regulatory, distribution and market-development costs.
4. Develop sector-specific Indonesia entry strategies rather than pursuing a generic export approach, with particular attention to pharmaceuticals, healthcare, digital services, engineering, industrial components and other priority sectors.
5. Indian battery and EV companies should assess Indonesia’s nickel opportunity alongside chemistry and technology risks, including the potential implications of growing LFP adoption, rather than assuming that Indonesia’s EV ambitions automatically translate into demand for nickel-based technologies.
6. Indian companies should strengthen local market intelligence by identifying credible Indonesian distributors, partners and customers before market entry and regularly reviewing changing regulations, competitive conditions and demand trends.
7. Indian companies should invest in long-term relationship building through regular engagement with Indonesian industry associations, distributors, government agencies and potential partners rather than relying primarily on short-term trade missions.
8. Indian exporters and investors should strengthen product localization, after-sales support, documentation and pricing strategies to align offerings with Indonesian market requirements and improve long-term competitiveness.

C. Recommendations for Indonesian Industry

1. Indonesian pharmaceutical, agri-input and industrial-component distributors should engage directly with CCI’s proposed Facilitation Desk to identify vetted Indian suppliers, manufacturers, technology providers and potential investment partners.
2. Indonesian industrial-park operators should actively develop JV opportunities for Indian companies, particularly in component manufacturing and other areas where TKDN-compliant local production can create a stronger market-entry proposition.
3. Indonesian companies should use CCI-supported business-matching mechanisms to diversify their Indian partner base, moving beyond established trading relationships toward deeper technology, manufacturing, investment and supply-chain partnerships.
4. Indonesian distributors and buyers should identify specific Indian products and technologies that can address domestic market requirements, enabling CCI to convert broad bilateral interest into targeted company-to-company opportunities.

5. Indonesian industry associations should work with CCI and Indian industry bodies to create recurring sector-specific engagement platforms, including B2B meetings, buyer–seller programmes, investment forums and technology partnerships.
6. Indonesian companies should proactively communicate priority sourcing, investment and technology requirements to Indian industry bodies to enable more targeted matchmaking and reduce the gap between broad interest and actionable commercial opportunities.
7. Indonesian businesses should strengthen engagement with Indian MSMEs and emerging technology providers to diversify sourcing options and identify cost-effective solutions across manufacturing, healthcare, digital services and industrial sectors.
8. Indonesian industry bodies should support structured feedback from companies on regulatory, logistics and market-entry barriers to help identify practical issues that can be addressed through bilateral institutional mechanisms.

D. Recommendations for Government / Institutional Stakeholders

1. The Ministries of Commerce of both countries should establish a realistic, evidence-based bilateral trade target that reflects current market conditions and explicitly accounts for the structural decline in coal trade rather than relying on the unmet US\$50 billion-by-2025 target.
2. The India–Indonesia Economic and Financial Dialogue should introduce a standing private-sector advisory mechanism involving CCI, KADIN and relevant sector bodies so that government-level discussions are informed by company-level realities and implementation feedback.
3. Both governments should prioritize rapid commercial implementation of the July 2026 agreements on payments interoperability and medical-professional licensing, supported by clearly assigned institutional responsibilities, timelines and monitoring mechanisms.
4. Indian and Indonesian regulators should develop clearer and time-bound cooperation mechanisms between institutions such as BPOM and CDSCO, as well as relevant payments and capital-markets regulators, particularly for sectors identified as Very High priority.
5. Governments and institutional stakeholders should establish an implementation-monitoring framework for bilateral economic agreements, with periodic reviews involving government, CCI, KADIN and industry representatives to ensure that agreements translate into sustained company-level outcomes.
6. Both governments should strengthen the availability and exchange of reliable market, regulatory and sectoral information to help businesses identify opportunities, anticipate compliance requirements and make informed bilateral investment and trade decisions.
7. Both countries should strengthen cooperation on trade facilitation, customs procedures, standards and logistics to reduce avoidable transaction costs and improve the efficiency of bilateral supply chains.
8. Government agencies should establish clear institutional points of contact and escalation mechanisms for businesses facing regulatory or market-entry challenges, enabling faster resolution of issues affecting bilateral trade and investment.

CONCLUSION

The evidence supports CCI's positioning as an India–Indonesia business facilitation and mobilization partner, with one important qualification: the primary constraint is no longer political will or diplomatic architecture, which have strengthened significantly following the July 2026 State Visit. The key gap is company-level follow-through, reflected in a declining trade relationship and relatively limited investment flows.

CCI's most valuable role is therefore not to create additional agreements or forums, but to provide the commercial execution function between policy and business. This should include targeted matchmaking, partner identification, regulatory and market-entry support, and structured 30/90/180-day follow-up to ensure that meetings translate into business outcomes.

The opportunity should be approached selectively. Indonesia's economic scale, resource base, industrialization and digital growth create opportunities for Indian companies in critical minerals, pharmaceuticals, chemicals, engineering and manufacturing, digital infrastructure, fintech, food processing, and selected EV and mobility segments. The strongest opportunities will be those where Indian capabilities complement Indonesian requirements. Practical models such as supply partnerships, component manufacturing, technology transfer, joint ventures and localized distribution are therefore likely to be more effective than conventional export-led approaches alone.

For Indian businesses, Indonesia should be viewed as a market requiring local engagement and sustained relationship-building. Regulatory requirements, local-content rules, geography, infrastructure and sector-specific structures can significantly influence market entry. Companies willing to localize, develop local suppliers, transfer relevant technology and build long-term partnerships are likely to achieve stronger results.

CCI can fill this institutional gap by acting as the commercial bridge between government-to-government relations and company-to-company execution. Its activities should include identifying credible Indonesian counterparties, conducting curated B2B engagements, connecting businesses with industrial parks and sector institutions, supporting regulatory navigation, and maintaining structured post-meeting engagement.

The paper highlights the need for a more focused and practical approach to strengthening India–Indonesia business engagement. CCI can play a meaningful role by facilitating connections, supporting collaboration and helping convert opportunities into sustained business relationships.

THANK YOU

CCI India sincerely thanks Your Excellency for the warm hospitality and gracious interaction with our team. We greatly value the opportunity to discuss strengthening India-Indonesia bilateral trade and economic relations and look forward to deepening cooperation, expanding business engagement, and creating new avenues for trade, investment, and mutually beneficial partnerships between the two countries.



India - Indonesia: Building Bridges, Expanding Opportunities, Shaping a Shared Future

www.cciindia.org
admin@cciindia.org

13, Institutional Area, Lodhi Road, New Delhi-110 003



Copyright by the Chambers of Commerce & Industry of India (CCI India)